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STRENGTHENING FISCAL FEDERALISM
IN PAKISTAN

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Abbreviations and Acronyms

AIT	Agriculture Income Tax
BISP	Benazir Income Support Programme
CCI	Council of Common Interests
CVT	Capital Value Tax
ETR	effective tax rate
FBR	Federal Board of Revenue
FOCJ	functional, overlapping, and competing jurisdictions
FRDLA	Fiscal Responsibility and Debt Limitations Act
FY	fiscal year
GDP	gross domestic product
GDS	Gas Development Surcharge
GMM	general method of moments
GST	General Sales Tax
HDI	human development index
HIES	Household and Income Expenditure Survey
IFMIS	Integrated Financial Management Information System
IMF	International Monetary Fund
KP	Khyber Pakhtunkhwa
LG	local government
LGA	Local Government Act
MoF	Ministry of Finance
NAETR	national average effective tax rate
NAPCFC	national average per capita fiscal capacity
NEC	National Economic Council
NFC	National Finance Commission
OSR	own-source revenue
PCFC	per capita fiscal capacity
PCO	Privy Council Office
PEFA	Public Expenditure and Financial Accountability
PFC	Provincial Finance Commission
PFM	public financial management
PIFRA	Project to Improve Financial Reporting and Auditing

PKR	Pakistan rupee
PSLM	Pakistan Social and Living Standards Measurement Survey
RES	Representative Expenditure System
SAP	enterprise resource planning software used by the Government of Pakistan
TTIP	Tax On Transfer of Immovable Property
UIPT	Urban Immovable Property Tax
UNDP	United Nations Development Programme
US$	United States dollar
VAT	value-added tax
WHT	withholding tax

Executive Summary

How public resources are raised, distributed, and spent across Pakistan's three tiers of government has a profound bearing on whether macroeconomic stability can be sustained, whether children attend functioning schools, whether health facilities have medicines, and whether the 3.5 million Pakistanis entering the labor force each year can find productive employment. After a long history of centralization, landmark reforms in 2010 significantly increased the provincial share of federal revenues and devolved major service delivery responsibilities to provinces. While this decentralization represented an important step forward, Pakistan's fiscal federalism system retains structural weaknesses that constrain its performance. Until these are addressed, Pakistan will struggle to retain fiscal discipline, grow faster, meet basic human capital needs, and deliver on the expectations of its rapidly growing population.

This report: (i) benchmarks current fiscal federalism arrangements against international norms and good practices; (ii) describes the outcomes of current fiscal federalism arrangements; (iii) examines how current fiscal federalism arrangements are impacting the financing of critical public services; and (iv) presents recommendations for strengthening fiscal federalism, both through a new planned National Finance Commission Award and broader reforms.

Benchmarking Fiscal Federalism Arrangements

Pakistan has made meaningful progress on fiscal federalism since 2010 but important deviations from international norms and good practices exist across four critical dimensions.

First, expenditure assignments remain incompletely implemented and inadequately defined in some areas. The 18th Constitutional Amendment devolved responsibility for social services and economic functions to provinces. However, the federal government continues to operate in constitutionally devolved areas, causing waste and blurring accountability, while local governments lack clearly defined or adequately resourced functional mandates.

Second, the 18th Constitutional Amendment led to fragmentation of the tax system. While the Amendment strengthened provincial tax authority, particularly over General Sales Tax (GST) on services, it also split the tax base between five competing jurisdictions.[1] The resulting complexity imposes high compliance costs, discourages interprovincial trade, and has constrained aggregate revenue performance. Large potential tax bases, particularly agriculture income and property, remain significantly underutilized.

Third, the current federal–provincial transfer arrangements – including both the vertical share and the horizontal allocation formula – do not achieve important policy objectives. The National Finance

[1] The federal government, and the four provinces of Balochistan, Khyber Pakhtunkhwa, Punjab, and Sindh.

Commission (NFC)-based federal–provincial transfer system provides predictability and protects provincial revenue shares. However, financing has not followed function. The current framework reduced federal resources without a commensurate adjustment in expenditure responsibilities, driving a structural federal fiscal deficit. The horizontal distribution formula also does not achieve genuine fiscal equalization. Finally, this formula provides no meaningful incentives for provincial revenue effort or service delivery performance. Current arrangements arguably also deter federal revenue effort, with a large share of revenues automatically transferred to provinces.

Finally, despite constitutional recognition under Article 140A, local governments are fiscally dependent, institutionally unstable, and effectively subordinate to provincial discretion. Provincial Finance Commission (PFC) awards are infrequent and non-binding, transfers are ad hoc, and own-source revenue is minimal. The devolution envisaged in 2010 has not extended meaningfully below the provincial tier.

Fiscal Federalism Outcomes

Identified departures from norms and good practices have contributed to several important negative outcomes.

First, fiscal federalism arrangements have contributed to the emergence of a structural federal fiscal deficit. Provincial revenues, including federal transfers, rose from less than 4 percent of gross domestic product (GDP) to an average of 6.5 percent over fiscal year 2010 (FY10) to FY24, but federal expenditures did not adjust commensurately. The loss in federal revenues from transfers (1.9 percent of GDP) was roughly equivalent to the increase in federal primary deficits post-devolution (1.7 percent of GDP). In the context of weak overall revenue and macroeconomic performance, the misalignment between federal financing and functional needs has been a material contributor to Pakistan's fiscal deficit and to the accumulation of public debt.[2]

Second, fiscal federalism arrangements have contributed to continued weak revenue performance. Fragmentation of the tax base across five jurisdictions has misaligned incentives, raised compliance costs, and created opportunities for avoidance. Federal revenues have continued to significantly underperform. Despite the expanded provincial revenue assignments, own-source tax revenue has barely increased. The agriculture income tax remains largely uncollected, despite the sector accounting for more than 20 percent of GDP. Urban immovable property tax generates only 0.13 percent of GDP, far below comparator country norms of 0.3 to 0.6 percent.

Third, fiscal federalism arrangements have had, at best, a limited impact in aligning public spending and service delivery with needs. Devolution is theoretically expected to reduce accountability loops and better align spending with public needs. While provinces have increased spending on basic services since the 18th Constitutional Amendment, the largest single increase has been in

[2] Under the National Fiscal Pact, agreed between the federal and provincial governments in the context of policy discussions around the ongoing International Monetary Fund Extended Fund Facility program, provinces have agreed to achieve budget surpluses to preserve the aggregate national budget deficit within target limits. While this has served to constrain the reported aggregate budget deficit, the federal government still accumulates debt to finance its deficit while the provinces accumulate savings from accumulated surpluses.

administrative expenses. Around 80 percent of consolidated provincial expenditure continues to be absorbed by recurrent costs, with the largest share of incremental spending absorbed by general public services and administrative costs rather than education or health. Spending has also remained geospatially inequitable, with district allocations driven by historical precedent rather than poverty levels or service delivery gaps. Local governments have seen their share of total government spending fall from around 10 percent in 2005 to approximately 4.7 percent in 2024.

Finally, fiscal federalism institutions have not succeeded in safeguarding performance of the fiscal federalism system through effective monitoring and coordination. The institutional framework underpinning fiscal federalism has underperformed. The Council of Common Interests held only 11 meetings between 1973 and 2010 despite a constitutional requirement for quarterly meetings. A successor NFC Award has now been delayed for over a decade and a half.

Subnational Public Finance Institutions

Improved outcomes from devolution depend on the quality of subnational finance systems. Pakistan's provinces exhibit mixed performance in the strength of their public finance systems. Weaknesses in these systems directly undermine service delivery, contributing to Pakistan's ongoing human capital crisis. Key shortcomings include weak predictability of resource availability, large and unpredictable in-year reallocations, limited performance orientation through the budget cycle and across levels of government, and constrained local discretion to manage effective resource use.

These critical weaknesses are linked to varying degrees, to broader fiscal federalism challenges; they are shaped by how resources are raised, distributed, and controlled across levels of government. In this context, a new NFC Award or broader fiscal federalism reforms present important opportunities to recalibrate incentives and address some of the structural drivers underlying service delivery inefficiencies.

Options for Reform

Suitable fiscal federalism solutions for Pakistan may diverge widely from international norms and will reflect the outcome of complex and contested political processes. Accordingly, this report presents a menu of possible reform options organized against key priorities rather than a prescriptive and comprehensive reform agenda. Key priorities are to:

Address the current misalignment between financing and function of federal and provincial governments.
The ongoing federal rightsizing exercise (reducing wasteful spending that overlaps with provincial mandates) should be prioritized regardless of broader reforms. Global precedents from Canada and Brazil offer useful models. Once achievable savings are realized, a federal revenue potential assessment should determine whether further vertical rebalancing is needed and to what degree. Remaining gaps could be addressed through several mechanisms within existing constitutional restrictions: function-specific deductions from the divisible pool could share the burden of continued federal expenditure on national public goods such as national transport infrastructure,

certain security expenditures, debt servicing, social protection, environmental programs, strategic interprovincial water infrastructure, and national policy coordination.

Adopt a solution to horizontal distribution that achieves equalization while generating positive fiscal incentives.

A transparent fiscal gap approach – replacing the current complex multi-factor formula – would allocate divisible pool resources based on standardized assessments of expenditure needs versus own-source revenue capacity, eliminating disincentives to revenue effort and avoiding penalties on provinces for fiscal efficiency. Using needs and capacity rather than actual spending or collection prevents penalizing provinces that perform well. Unconditional transfers under this approach preserve provincial fiscal autonomy. Several countries have adopted variations of this model, including Australia, Canada, China, Nigeria, and South Africa.

This equalization framework could be complemented by conditional transfers tied to measurable service delivery outcomes in devolved sectors such as education and health, with disbursements verified by an independent third party and supported by strengthened federal and provincial statistical systems. Other national priorities (revenue collection, environmental goods, governance, and effective local government) could similarly be linked to conditional transfers.

Short of a full overhaul, the existing formula could be improved by assigning greater weight to poverty, backwardness, and inverse population density indicators to strengthen redistribution; rewarding provinces for closing gaps between potential and actual own-source revenue collection, including underutilized property and agricultural taxes; and tying a share of divisible pool transfers to investments in critical public services, fiscal discipline and budget transparency, climate adaptation, disaster readiness, and further devolution to local governments.

Address specific problematic revenue assignment issues.

Fragmentation of GST between goods and services results in multiple collection agencies applying different rates, definitions, withholding rules, input adjustment mechanisms, and refund systems. This is a primary constraint on revenue performance and must be treated as a first-priority reform. The NFC could incentivize harmonization of the GST base through common definitions based on a shared negative list, harmonized place-of-supply rules, expedited rollout of a unified digital filing and payment system, and comprehensive data-sharing arrangements.

Alternatively, the NFC could pursue full reunification of the GST base under centralized administration, with constitutional revenue-sharing provisions implemented through an agreed allocation formula. On income taxation, the NFC could advance the implementation of provincial agricultural income tax regimes recently amended to align with the federal system, and establish automatic information exchange arrangements where differences remain to prevent evasion. On property, the NFC could support harmonization of all immovable property-related levies – taxes, duties, fees, and charges – through a common valuation system and uniform methodology applied consistently across instruments.

The NFC could also establish a framework for sharing the fiscal burden of social protection, either through agreed deductions from the divisible pool or through proportionate provincial budgetary grants to federal social protection institutions.

Strengthen and empower local government.

NFC agreements could establish clear guidelines for local government structures and minimum standards for the devolution of administrative and financial decision-making, while protecting provincial autonomy through differentiated approaches. Transparent, objective, and regularly updated PFC transfer systems (informed by participatory intergovernmental fora) should allocate resources based on clearly defined expenditure needs and revenue capacities of each local government, with criteria and underlying indicators updated at regular intervals. Increased local-level allocations should target key national priorities including health and education, and performance-based grants should incentivize improved service delivery and local revenue generation. Elected local representatives should be more meaningfully included in the PFC process to strengthen accountability. Sustainable empowerment of local governments will, however, require broader reforms beyond the NFC: reviewing existing governance tiers and their jurisdictional design, strengthening the role of metropolitan centers, streamlining municipal oversight of autonomous bodies, clarifying respective roles and tenures, elaborating fully aligned revenue and expenditure assignments, and mandating consistent provincial-local transfer frameworks that close resource gaps and strengthen horizontal equalization.

Revive fiscal federalism institutions.

A revised NFC could reinvigorate coordination bodies, clarify their mandates and functions, and create incentives for active participation. This would be achievable through policy decisions or legislation within the existing constitutional framework. More ambitious future reforms could establish binding mandates to ensure role clarity, reduce overlaps in existing functions, and set minimum standards for resourcing and representation. Reliable and timely convening of NFCs is itself an important reform objective: regular revisions would lower the political stakes of any single negotiation, reduce perceptions of irreversibility, and create ongoing opportunities for dialogue, experimentation, and consensus-building on important fiscal federalism issues.

01 Introduction

Pakistan faces major economic and human development challenges. Over several decades, economic growth has been volatile and slow, with Pakistan growing at only around half the pace of structural comparators. Investment and productivity are low, with the economy incapable of creating sufficient jobs for the 3.5 million Pakistanis entering the labor force every year. In the context of sustained weak revenue performance and structural fiscal deficits, Pakistan faces substantial debt sustainability risks and major constraints to meeting development needs. Public spending on education and health has averaged 1.8 and 0.8 percent of gross domestic product (GDP), respectively, between FY10 and FY25, compared to the lower-middle income country average of 4.2 percent for education and 5 percent for health. Partly due to sustained underinvestment in basic services, over 25 million school-age children are not in school, 40 percent of children under stunted, and about 78 percent of children are unable to read and understand a short, age-appropriate text by the age of 10. Reflecting low growth, low incomes, and service delivery deficits, 28.9 percent of Pakistanis lived below the basic needs poverty line in FY24–25, up from 21.9 percent in FY18–19.

The Government of Pakistan and the World Bank are working together to address these challenges. Both the government's "Uraan Pakistan" National Development Strategy and the World Bank's Country Partnership Framework identify improved fiscal management and better human capital outcomes as critical priorities. The federal government has achieved important progress over recent years in restoring macroeconomic stability, increasing revenues, and reducing wasteful expenditures, including through federal–provincial fiscal coordination under the National Fiscal Pact. Key reform processes are ongoing to strengthen tax policy and administration, reduce the role of the state in the economy, address energy sector constraints, open the economy to international trade, and improve the business regulatory environment for investment. Government has also recently constituted the 11th National Finance Commission (NFC) to reexamine the resource distribution award for sharing federal divisible taxes between the federal government and provinces, presenting an opportunity to address important intergovernmental fiscal and coordination challenges. The current reform moment offers an opportunity to reconsider Pakistan's broader fiscal federalism arrangement and ensure that these arrangements support much needed development progress.

This report argues that broad reforms to current fiscal federalism arrangements are critical to addressing development challenges, both through and beyond any new NFC Award. Current fiscal federalism arrangements provide important benefits to Pakistan. The design of fiscal federalism arrangements always reflects complex political considerations, and there is no universally applicable best practice. From a technical perspective, however, reforms to the current fiscal federalism arrangements could substantially help address Pakistan's most pressing challenges. Reducing the current misalignment between financing and function across federal and provincial levels could help reduce or eliminate Pakistan's chronic and sustained fiscal deficits, addressing a long-run cause of macroeconomic instability and low investment. Reforms to revenue-sharing formulas and

assignments could help support intergovernmental coordination, align fiscal incentives behind national development priorities, and reduce fragmentation and complexity in the tax system that is fundamentally constraining revenue performance. Strengthening of local government could help close accountability loops, increase incentives for service delivery performance, and address local-level coordination failures, thereby supporting improved human development outcomes. Rejuvenating fiscal federalism institutions could support national coherence in the execution of fiscal policy and coordination of service delivery and economic development priorities. Without addressing existing critical weaknesses in fiscal federalism arrangements, Pakistan will struggle to grow faster, meet basic human capital needs, and deliver on the expectations of its rapidly growing population.

The report is structured as follows:

Section 2: Fiscal Federalism in Context – This section provides a brief overview of the history of fiscal federalism in Pakistan. It summarizes the evolution of fiscal federalism up to 2010, before describing critical changes under the 18th Constitutional Amendment and 7th National Finance Commission (NFC) Award that determine today's fiscal federalism arrangements.

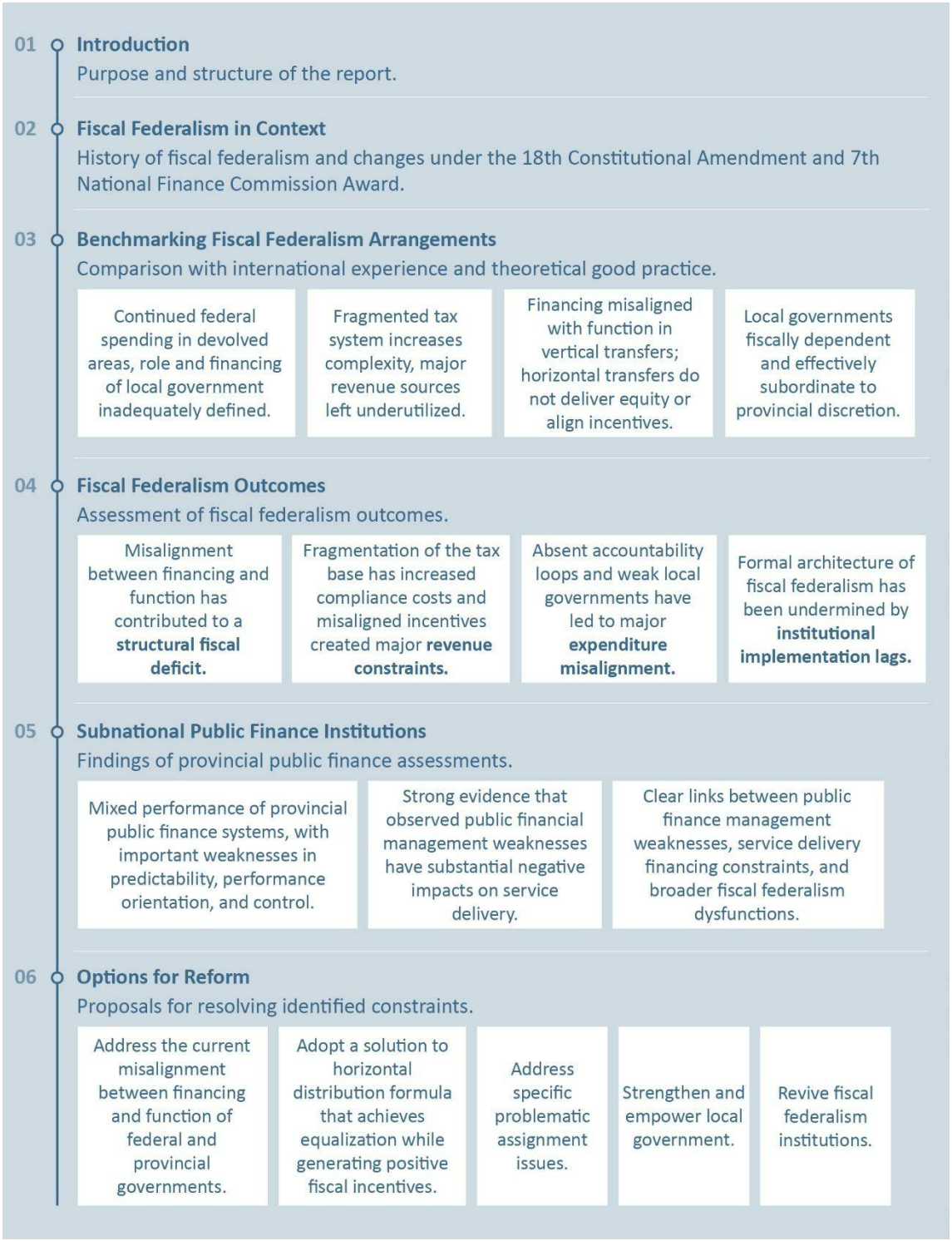
Section 3: Benchmarking Fiscal Federalism Arrangements – This section provides an assessment of current fiscal federalism arrangements in Pakistan against international norms and good practices. Based on country experience and academic literature, the section benchmarks Pakistan's fiscal federalism arrangements in terms of: (i) the appropriateness of current expenditure assignments; (ii) the appropriateness of current revenue assignments; (iii) the design of the federal–provincial fiscal transfer system; and (iv) the role of local government.

Section 4: Fiscal Federalism Outcomes – This section moves beyond theory and generalized good practice to examine specific outcomes of current fiscal federalism arrangements since the 2010 18th Constitutional Amendment and 7th NFC Award. The section examines outcomes in terms of: (i) observed impacts on the aggregate fiscal deficit; (ii) provincial and federal revenue performance; (iii) quality and allocation of provincial expenditures; and (iv) the functioning of fiscal federalism institutions.

Section 5: Subnational Public Finance Institutions – Drawing on new subnational public finance assessments, this section provides an analysis of linkages between fiscal federalism arrangements, public financial management (PFM) systems, and service delivery at the subnational level. The section: (i) assesses common strengths and weaknesses in provincial PFM systems; (ii) identifies service delivery impacts of PFM weaknesses; and (iii) discusses relationships between fiscal federalism arrangements and PFM weaknesses impacting service delivery.

Section 6: Options for Reform – This section presents options for reform of fiscal federalism arrangements in Pakistan based on the preceding analysis. Options are presented for: (i) addressing ongoing vertical imbalances; (ii) strengthening the horizontal distribution formula; (iii) addressing specific problematic assignment issues; (iv) enhancing the role of local government; and (v) ensuring the effective functioning of fiscal federalism institutions.

Figure 1:
Roadmap of the Report



02 The Fiscal Federalism Context

This section provides a brief overview of the history of fiscal federalism in Pakistan. It summarizes the evolution of fiscal federalism up to 2010, before describing critical changes under the 18th Constitutional Amendment and 7th NFC Award that determine today's fiscal federalism arrangements.

2.1 The History of Fiscal Federalism in Pakistan

Pakistan did not inherit a strong federal tradition at independence and initially maintained a fiscal federalism system that was "immensely centralized."[3] The Government of India Act 1935 allowed for revenue sharing and a fiscal transfer system, but as an instrument of colonial rule it was heavily biased towards the center. Under the 1956 Constitution, the provinces formally surrendered their right to collect sales taxes to the federal government in the interest of tax harmonization, with revenue shared back through a formula-based arrangement. The 1956 Constitution also formalized the single administrative "One Unit," which amalgamated the four provinces of West Pakistan in an attempt to counterbalance the political power of the East, further consolidating federal control over fiscal and administrative matters.

Efforts toward increasing provincial autonomy from 1973 were contested and piecemeal, reflecting political discontinuities and authoritarian interventions. The 1971 civil war and the secession of East Pakistan to form Bangladesh fundamentally reshaped the federation, leaving four provinces in place of the previous two wings. A new constitutional framework, negotiated under a restored civilian government, was established in 1973. Article 160 established the NFC as the primary mechanism for revenue distribution between the federal government and the provinces. The first NFC Award under this framework was issued in 1974–75, with population as the sole distribution criterion; customs duties excluded from the divisible pool. The NFC process was meant to reconvene every five years but the awards that were due in 1979 and 1984 both ended in deadlock without producing agreed outcomes. The 4th NFC Award of 1991 – the next functional Award – granted provinces royalties and gas development surcharges on natural resources. The 5th Award of 1995 was disputed and short-lived, while the 6th Award of 1997 brought customs duties formally into the divisible pool, expanding the base of shared resources. During the period of military rule beginning in 1999, local governments were strengthened, but these efforts were reversed following the return to democracy in 2008.

[3] Ahmed et al. (2025) "Evolution of Federalism in Pakistan."

Table 1:
Expenditure and Revenue Trends by Government Tier

%	1955	1965	1985	1995	2005	2010	2011	2024
Expenditure Shares:								
Federal	60	60	65	67	70	66	67	71
Provincial	35	30	30	29	20	25	28	24
Local	5	10	5	4	10	9	5	5
All	100	100	100	100	100	100	100	100
Revenue Shares:								
Federal	70	85	90	90	93	94	93	92
Provincial	25	10	5	5	6	5	6	8
Local	5	5	5	5	1	1	1	-
All	100	100	100	100	100	100	100	100

*Sources: Shah (2012) **Making Federalism Work** – updated for 2024 using World Bank calculations from Ministry of Finance data (missing information on local government revenue).*

2.2 The 18th Constitutional Amendment and 7th National Finance Commission Award

Pakistan's 18th Constitutional Amendment marked a fundamental shift in the federal structure of Pakistan. The 18th Constitutional Amendment, enacted in 2010 with near-unanimous parliamentary support, represents the most significant restructuring of Pakistan's federal system since the adoption of the 1973 Constitution. It marked a deliberate attempt to reverse decades of political centralization, strengthen parliamentary democracy, and restore provincial autonomy. While widely regarded as a necessary corrective to Pakistan's historically centralized federation, the Amendment also fundamentally reshaped the division of revenue and expenditure responsibilities between the federal and provincial governments, creating both opportunities and new governance challenges.[4]

The Amendment was intended to:

- Restore parliamentary supremacy and limit discretionary presidential powers.
- Strengthen provincial autonomy by abolishing the Concurrent Legislative List.
- Reinforce institutions of executive federalism, notably the Council of Common Interests (CCI) and the National Economic Council (NEC).
- Provide constitutional recognition to local governments.
- Improve predictability and fairness in intergovernmental fiscal relations.

[4] This section makes use of: Shah and Beyer (2020) "A Decade after the 18th Constitutional Amendment;" and Shah (2012) *Making Federalism Work*.

Collectively, these reforms shifted Pakistan's federal system from a hierarchical model toward a more participatory and collaborative framework, at least in constitutional design.

2.1.1 Reassignment of Expenditure Responsibilities

One of the most consequential aspects of the 18th Amendment was the reassignment of expenditure responsibilities across different orders of government. By abolishing the Concurrent Legislative List, the Amendment transferred most economic and social service functions – such as education, health, agriculture, rural development, and social welfare – from the federal government to the provinces. Residual powers were explicitly vested in provincial governments, while a limited set of shared functions, including electricity, natural resources, and national planning, were placed under Federal Legislative List Part II, to be managed through the CCI.

As a result, the federal government's constitutionally mandated functions were significantly narrowed, and service delivery responsibilities were dissolved to subnational governments. The federal government was primarily assigned defense, foreign affairs, monetary policy, interprovincial and international trade, major infrastructure, and regulation of federally chartered entities. Provinces became the dominant actors in service delivery, assuming responsibility for most merit goods and subnational infrastructure. Local governments were granted constitutional recognition, but their specific functions were left to provincial discretion, resulting in significant variation.

2.1.2 Distribution of Revenue and Intergovernmental Fiscal Relations

The reassignment of expenditure responsibilities was accompanied by major changes in the division of revenues. The fiscal decentralization envisaged under the 18th Constitutional Amendment was operationalized primarily through reforms to the NFC framework, making the NFC a central pillar of the post-18th Amendment federation. While taxing powers in Pakistan remain largely centralized – covering income taxes, sales tax on goods, customs duties, and excises – the 18th Amendment strengthened constitutional protections for provincial revenue shares. Article 160 was amended to ensure that the provincial share in the divisible pool could not be reduced below the level specified in the previous NFC Award. The 18th Amendment reinforced provincial tax authority over General Sales Tax (GST) on services and agriculture income tax (AIT), and reinstated immovable property taxes, estate and inheritance taxes, and zakat and ushr as provincial taxes.[5]

The 7th NFC Award significantly increased provincial revenue and altered the formula for horizontal distribution of resources. Under the 7th NFC Award, the provincial share of the divisible pool increased to 57.5 percent, leaving 42.5 percent for the federal government. It also replaced the longstanding population-only criterion for horizontal distribution with a multi-indicator formula incorporating poverty and backwardness, revenue generation, and inverse population density. This shift addressed longstanding grievances of smaller provinces and strengthened the redistributive role of intergovernmental transfers.

[5] Zakat and Ushr are mandatory Islamic financial obligations. Zakat is an annual wealth and savings tax, whereas Ushr is a harvest-based tax on agricultural produce.

2.1.3 Institutional Mechanisms and Coordination Challenges

The 18th Amendment sought to mitigate risks by strengthening intergovernmental institutions. The CCI was elevated as the apex forum for managing shared responsibilities and resolving federal–provincial disputes, with mandatory quarterly meetings and expanded jurisdiction. The NEC was reconstituted to play a stronger role in national economic planning and to oversee provincial borrowing. The NFC remained the central mechanism for revenue sharing, including determination of the vertical and horizontal distribution of revenues between the federation and the provinces through periodic NFC Awards. Additional coordination roles were to be performed by bodies such as the Inter-Provincial Coordination Committee and the National Development Council, which focus on harmonizing policies and long-term development planning.

03 Benchmarking Fiscal Federalism Arrangements

This section provides an assessment of current fiscal federalism arrangements in Pakistan against international norms and good practices. Based on country experience and academic literature, the section benchmarks Pakistan's fiscal federalism arrangements in terms of: (i) the appropriateness of current expenditure assignments; (ii) the appropriateness of current revenue assignments; (iii) the design of the federal–provincial fiscal transfer system; and (iv) the role of local government.

3.1 Expenditure Assignments

3.1.1 Why Expenditure Assignments Matter

Expenditure assignments are at the core of fiscal federalism. They determine which level of government (federal, provincial, local) is responsible for providing and financing specific public goods and services, for example education, healthcare, security, and infrastructure. Expenditure assignments can have critical implications for development. Appropriate expenditure assignments can support:

- **Technical and allocative efficiency in the use of public resources.** Appropriate expenditure assignment can maximize benefits from economies of scale, ensure universal access to public services, and devolve responsibility to the optimal level of government for achieving allocative efficiency.

- **Accountability and transparency.** When service delivery responsibilities are devolved to the government tier closest to end-users, it can shorten the feedback loop and help enhance accountability and transparency.

- **Equity.** Some services (such as social protection or healthcare) may require equal access across regions, necessitating national oversight or financing, even if service delivery is decentralized.

3.1.2 Principles for Determining Expenditure Assignments

International experience and the policy and academic literature identify key principles for determining appropriate expenditure assignments between different levels of government. The principle of subsidiarity dictates that services should be delivered at the level of government closest to citizens, supporting tailored, efficiency-enhancing solutions and stronger accountability.

Subsidiarity is not absolute, however. Higher levels of government may be better placed to deliver services in certain circumstances. These include cases where:

- **Spatial externalities are important.** Where the costs and benefits of providing a public service at the local level would be realized by non-residents, higher-level provision is more appropriate. Examples include national defense, air and water pollution, and natural resource management.

- **Economies of scale are significant.** It can make sense to deliver a service at a higher level of government – and therefore to a larger number of citizens – when associated fixed costs (including administrative and compliance costs) are significant. The procurement of medicines is one such example.

- **The service is important for addressing inequities.** Delivery or oversight by higher levels of government can play an important redistributive function, for example safeguarding the provision of quasi-private goods such as health, education, and social insurance to ensure horizontal equity of access (across areas or jurisdictions) and minimum standards of service.

- **Coordination problems and transaction costs are significant.** Delivery by higher levels of government can bring important efficiency gains where standardization, harmonization, or national coherence matters. Examples include the regulatory framework underpinning a common market and the management of fiscal and monetary policies to support economic stabilization.

Application of these principles is seldom clear cut. Most, if not all, public services could be considered to meet at least one of the criteria justifying delivery by higher levels of government. Determining appropriate assignment therefore requires judgement and trade-offs, weighing the benefits of local delivery against the potential benefits of scale, coordination, and equity. Expenditure assignment is ultimately a political question that cannot be resolved by technical criteria alone.

Box 1: Summary of the Academic Literature on Expenditure Assignment

Several accepted theories provide a strong rationale for decentralized fiscal constitutions on the grounds of efficiency, accountability, manageability, and autonomy.

The Home Rule identifies two principles of jurisdictional design: (i) a representative government works best the closer it is to the people; and (ii) people should have the right to vote for the kind and amount of public services they want.[a] These principles suggest that decision-making should occur at the order of government closest to the people consistent with the goals of allocational efficiency. Thus, the optimal size of a jurisdiction would vary with specific instances of economies of scale and benefit-cost spill-outs.

The Principle of Fiscal Equivalency implies equating political jurisdiction with the benefit area and requires a separate jurisdiction for each public service. It argues that, if a political jurisdiction and benefit area overlap, the free-rider problem is overcome and the marginal

benefit equals the marginal cost of production, thereby ensuring the optimal provision of public services.[b]

The Decentralization Theorem advocates for the provision of each public service by the jurisdiction having control over the minimum geographic area that would internalize the benefits and costs of such provision.[c] However, the practical implications of this theorem require a large number of overlapping jurisdictions. Bruno Frey and Reiner Eichenberger have extended this idea to define the concept of functional, overlapping, and competing jurisdictions (FOCJ). They argue that jurisdictions can be organized along functional lines while overlapping geographically and that individuals and communities could be free to choose among competing jurisdictions. Revenues are raised from members in return for delivery of services to them. The school communities of the Swiss canton of Zurich and special districts in North America follow the FOCJ concept.[d]

a Stigler (1998) "The Tenable Range of Functions of Local Government."

b Olson (1969) "The Principle of 'Fiscal Equivalence'."

c Oates (1972) *Fiscal Federalism*.

d Frey and Eichenberger (1995) "Competition among Jurisdictions: The Idea of FOCJ."

3.1.3 Benchmarking Expenditure Assignments in Pakistan

From a purely technical perspective, the 18th Constitutional Amendment of 2010 represented progress toward aligning with good international practice. The Amendment restructured functional assignments between the federal and provincial governments, significantly expanding provincial government roles and bringing service delivery closer to citizens. It assigned provincial governments key service delivery responsibilities – planning, industry, agriculture, rural development, and social services and welfare, including education and health (see Table 2). Provinces were also granted full authority over local government institutions, including their political, administrative, and fiscal arrangements.

Table 2:
Reassignment of Expenditure Responsibilities after the 18th Amendment

Federal Functions under Federal Legislative List Part I	
De-jure	
Defense	International and interprovincial trade
External affairs and international treaties	Nuclear energy
Immigration and citizenship	Airports, aircraft, air navigation, air and sea travel and shipment, lighthouses
Post and telecommunications	Patents, trademarks, copyrights

Central banking, currency, foreign exchange	National highways and strategic roads
Corporate regulation including banking and insurance	Federal geological surveys and meteorological organizations
Fishing beyond territorial waters	Local government in cantonment areas
Standards of weights and measures	Stock exchanges and futures markets
De facto – all of the above plus the following (a total of 35 ministries):	
Climate change	Religious Affairs and Inter-faith harmony
National Health Services, regulations and coordination	Science and technology
Education and professional training	
Housing and public works	Statistics
National History and Library Heritage	Water resources
Law and Justice	Textiles
Overseas Pakistanis and Human Resource Development	Food security and research
Parliamentary affairs	Industries and production
Planning, development and reform	Human rights
Privatization	Interior and Narcotics control

Federation/The Council of Common Interest (Joint Federal–Provincial) Tasks: Federal Legislative List Part II	
Electricity	Provincial Police operations beyond provincial boundaries
Minerals, oil, and natural gas	Industrial policy
Railways	National Planning and National Economic Coordination
Major Ports	Coordination of Scientific and Technological Research
Census	All Regulatory Authorities under a federal law
Public Debt	Standards in higher education and research, scientific and technical institutions
Federal Corporate entities including Water and Power Development Authority and Pakistan Industrial Development Corporation	Interprovincial matters and coordination
Legal, medical and other professions	

Provincial Responsibilities
All residual functions

Sources: The Constitution (18th Amendment) Act, 2010; Shah (2012) Making Federalism Work; Shah and Beyer (2020) "A Decade after the 18th Constitutional Amendment."

Expenditure assignments between provincial and federal governments still deviate, however, from established conceptual principles and practices from other mature federations. Table 3 presents a benchmarking of the expenditure assignments in Pakistan against a representative assignment of major public services based on the good practice criteria discussed above.

Table 3:
Benchmarking of Expenditure Assignments Between Federal and Provincial Governments

Functions	Examples	Rationale	Aligned or Misaligned in Pakistan?
Typically assigned to federal government			
Public goods and services that are national/ international in scope	• Conflict resolution, defense, external trade, foreign affairs • Interprovincial trade	Benefits and costs are national/ international in scope. Constitutional safeguards are important for factor mobility.	Aligned. Misaligned – Provinces have the ability to create barriers to internal trade and factor mobility by regulating trade (e.g., if there's fears of commodity shortage), setting differential tax regimes for GST on services and imposing residence requirements for public services eligibility.
Interprovincial infrastructure	• National highways and strategic roads	Benefits and costs are national in scope.	Aligned.
National minimum standards for merit goods	• National policy, standards and oversight over basic public services • Environmental regulation	Ensures horizontal and minimum standards of service in all jurisdictions. Externalities are of global scope.	Misaligned – No provision for federal role in setting and enforcing compliance with national standards. Misaligned – Provinces have responsibility for a function which is typically centralized.
Preservation of the efficiency of	• Monetary policy, currency, and foreign exchange	Independence is essential.	Aligned.

internal common market	• Regulatory functions – banking, insurance, tax system, and regulation of foods, drugs and safety standards	It has national and global dimensions and preserves the internal common market.	Misaligned – lack of a harmonized tax system; relegation of standard setting function for food and agriculture safety inspections, waste disposal, etc.
Redistributive equity – interpersonal and interprovincial	• Natural resources	Promotes regional equity and internal common market.	Misaligned – ownership is vested in the provinces, and current revenues accrue to the provinces.
Social insurance	• Social security programs • Transfer payments	Has redistribution effects.	Misaligned – completely devolved to provinces except for the federally administered Benazir Income Support Programme (BISP).
Macroeconomic policy and stabilization	• Fiscal policy • Macroeconomic policy • Industrial policy	National coordination is critical.	Aligned but with fragmented coordination.
Calamities and Pandemics	• Natural disasters, calamities, emergencies.	National coordination is critical.	Misaligned – have been left out of federal domain by law.
Typically assigned to subnational government			
Financing and provision of social services	Primary and secondary education, public health, social welfare, sewage and refuse disposal, water supply, regional planning	Benefits and costs experienced at the local level.	Partly aligned – responsibility rests with the provincial government but its further devolution to local government varies across provinces.
Local infrastructure	Within-province roads, public transport, water supply infrastructure	Benefits and costs experienced at the local level.	Aligned.

Sources: World Bank staff compilation based on the Constitution (18th Constitutional Amendment) Act, 2010; and Shah (2007) The Practice of Fiscal Federalism.

3.2 Revenue Assignments

3.2.1 Why Revenue Assignments Matter

Revenue assignments are a fundamental component of fiscal federalism. Revenue assignments determine which layer of government is responsible for levying and administering different types of taxes, fees, and charges. They shape the resources available to each tier of government for its

assigned expenditure and regulatory functions. Effective revenue assignments can significantly influence development outcomes and provide support for:

- **Autonomy of subnational governments.** Having access to their own revenue sources helps incentivize subnational governments to provide local public services in a cost-effective way and avoid excessive dependence on transfers.

- **Efficiency in tax collection.** Different levels of government have different administrative strengths – higher levels can deliver harmonized tax policy, while lower levels can bring local knowledge to tax administration. Appropriate assignment can balance these advantages.

- **Macroeconomic stability and fiscal sustainability.** Allocation of revenue assignments (taxing rights) that are commensurate with the expenditure needs and level/scope of service delivery at each tier of government can mitigate the risk of unsustainable deficits. While it is common in developing countries to assign taxes separately from spending responsibilities, better outcomes are achieved when tax assignments are based on expected expenditures.

3.2.2 Principles for Determining Revenue Assignments

International experience and the policy and academic literature help identify some key principles for determining appropriate revenue assignments between different levels of government. These criteria include:

- **Administrative feasibility.** Taxes should be assigned to the government level that is best equipped to administer them efficiently, thereby minimizing administrative and compliance costs and limiting opportunities for tax evasion. For example, local governments typically administer immovable property-related taxes because they are better equipped to assess property valuation.

- **Economic efficiency.** Taxes on mobile factors and tradable goods affect the efficiency of the internal common market and should typically be assigned to the national/federal government. If different subnational jurisdictions apply different sales tax or value-added tax (VAT) rates to the same tradable good, this can distort trade and lead to a race to the bottom in inefficient tax competition.

- **National equity.** Taxes that can be used to achieve redistribution objectives should typically be assigned to the national/federal government. Assigning them to subnational governments can perversely incentivize jurisdictions to compete for high-income earners while discouraging lower-income residents from settling.

- **Fiscal need/revenue adequacy.** To promote fiscal accountability, revenue means (the ability to generate own-source revenues) should be as closely matched as possible to expenditure needs at each level of government.

Application of these principles involves trade-offs, which can be partly mitigated through fiscal measures. A decentralized tax system can foster fiscal and political autonomy and accountability of subnational governments, but at the same time can forgo the compliance and administrative advantages of a unified tax system. Taxing rights at the regional (province) or local (district) level can introduce inefficiencies in the allocation of resources and increase compliance and administrative costs substantially. Some of these disadvantages of a decentralized tax structure can, however, be addressed through fiscal measures – for example, a common legislative framework operating across different tiers of government, or centralized tax collection with the revenue shared across different government entities. Further, fiscal equalization transfers embedded in an intergovernmental transfer system can also play a key role in reducing inefficiencies and inequities that arise from variations in fiscal capacities across regional and local governments (discussed in Section 3).

Box 2: Global Examples of Revenue Assignments in Large Federal Countries

Revenue assignments across large federal countries vary substantially.

- In the USA, federal and state governments have independent taxing powers, while local governments get their taxing authority from state governments. While they do not share taxes, multiple governments may exploit the same revenue sources.
- In Brazil, taxes are distributed among federal, state, and local governments through a system of shared responsibilities and revenue sources. However, the federal government also shares part of its revenues with the states and the municipalities.
- In Canada, provinces generate nearly 80 percent of national revenue. Those with below average revenue-raising capacity receive unconditional equalization transfers.
- In India, the Indian Finance Commission uses weighted revenue-sharing indicators for inter-state allocation of revenue shares.
- In Australia, the Commonwealth (federal government) collects over 80 percent of total government revenue. States/territories only levy stamp duties, land taxes, and payroll taxes, with about 45 percent of their revenues coming from transfers.
- In Argentina, the federal government collects over 80 percent of total revenues. Around 70 percent of these are automatically shared with provinces as shared taxes, while the remaining 30 percent are transferred via special laws. Provinces manage taxes such as stamp duties, property taxes, and motor vehicle taxes.

3.2.3 Benchmarking Revenue Assignments in Pakistan

In Pakistan, tax assignment responsibilities were fundamentally shaped through the 18th Constitutional Amendment in 2010. First, the Constitution formalized the split of the GST base

between goods and services and granted provincial authorities taxing rights and administrative functions over GST on services. Second, the Amendment rescinded the concurrent authority of the federal government over property taxes (i.e., Urban Immovable Property Tax, and Capital Value Tax), assigning authority exclusively to provinces.[6] Finally, provinces were granted exclusive rights over royalties on natural resource extraction (i.e., oil, gas, and minerals) within their territories.[7] Crucially, the 18th Amendment preserved the pre-existing fragmentation of the income tax system, under which provincial governments retain exclusive authority to tax agriculture income – a politically sensitive tax that has historically been under collected. Current revenue assignments are summarized in Table 4 and presented in detail in Annex 1.

Table 4:
Current Assignment and Sharing of Taxes in Pakistan

Level of Government	Role	Taxes
Federal	• Determines base, rate, collection and administration	• Personal Income Tax excl. agriculture income • Corporate Income Tax • GST on goods (nation-wide) and sales tax on services (Islamabad only) • Custom duties incl. export duties • Excise duties excl. liquors, opium, and other narcotics • Capital Value Tax (CVT) on assets, not including taxes on immovable property • Capital gains tax on immovable property
	• Collection and administration (proceeds accrue to provinces)	• Net proceeds of royalties on crude oil and natural gas, development surcharge on natural gas, excise duty on natural gas and hydel profit on hydroelectricity.
Provincial	• Determines base, rate, collection and administration	• GST on services • Motor vehicle tax • AIT • Excise duties on liquors, opium and narcotics • CVT on immovable property, stamp duties, registration fee, and mutation fee on immovable property • Other taxes and fees incl: cotton fees, electricity duty, road tolls, education cess, etc.
Local	• Shares tax bases with provinces	Urban Immovable Property Tax (UIPT), Tax on Transfer of Immovable Property (TTIP), taxes on professions, callings, trade, entertainment tax, etc.

[6] Capital gains tax on transactions of immovable property remains in the federal domain.
[7] The federal government sets rates and administers and collects royalties on behalf of the provinces. A 2 percent collection fee is retained at the federal level.

	• Solely administers	Other taxes and fees such as advertisement tax, fees on marriages, births, and deaths, market fees, fees for specific services e.g., fees for approval of building plans, erection and re-erection of buildings, slaughter of animals, conservancy rates, district council fee/town tax, land use conversion fee, building plan approval and conversion fees, approval fee for private housing schemes, etc.

Source: World Bank staff compilation based on Shah (2012) Making Federalism Work.

While strengthening provincial autonomy, the 18th Constitutional Amendment created greater tax complexity and compounded administrative and compliance costs. The present bifurcation of the sales tax base between goods and services, and of the income tax base between agriculture and non-agriculture income, has fragmented tax legislation and administration, creating five different tax regimes (the federal government and four provinces) and multiple taxing authorities. Additionally, archaic taxes that originated in colonial or early post-independence frameworks persist, with limited buoyancy, complex exemptions, and high compliance and administrative costs relative to revenue. While reforms have abolished some (e.g., Octroi, estate/gift taxes) and shifted emphasis to modern bases (sales tax on services, income tax), several legacy levies such as those working in specific professions still exist at provincial/local levels and are frequently flagged for consolidation or overhaul. Some of the main tax handles where these complexities have significantly undermined revenue collection are elaborated below.

3.3 Provincial Intergovernmental Fiscal Transfer Mechanisms

3.3.1 Why Fiscal Transfers Matter

Fiscal transfers are a core aspect of many federal fiscal systems. They play a critical role, alongside revenue assignments, in determining the extent of public resources available to different tiers of government and in shaping a range of fiscal incentives. Appropriate design of fiscal transfer systems can support:

- **Political and social solidarity.** Equalization can foster national unity and a shared sense of citizenship by enabling states or provinces to provide comparable public services.

- **Equity.** A well-designed fiscal transfer system can provide all states with the ability to offer comparable services and taxation, while preserving states or provinces' discretion to reflect local preferences.

- **Efficiency and economic development.** By enabling the provision of comparable basic public services, fiscal transfers can help disadvantaged states or provinces integrate into the national economy and reduce spatial inequality; transfers can also support provision of national-level public goods that would otherwise be undersupplied.

3.3.2 Principles for Designing Fiscal Transfers

International experience and the policy and academic literature converge on some key criteria for designing fiscal transfer systems that are essential to ensuring these transfers achieve their intended objectives. These criteria include:

- **Simplicity, predictability, and transparency.** Fiscal transfers often constitute a substantial proportion of resources available to subnational governments. To enable effective fiscal planning, transfers should be easy to understand with relatively simple metrics and formulas, predictable, and based on objective and contestable data.

- **Flexibility and responsiveness.** The fiscal transfer system should be flexible enough to adapt to changing economic and policy conditions, while remaining responsive to local needs through regular reviews and updates to ensure continued relevance and effectiveness.

- **Political feasibility.** The fiscal transfer system should be designed to foster a broad public consensus while remaining resilient to political pressures.

- **Incentive compatibility.** The fiscal transfer system should be designed such that it effectively promotes its intended objectives – such as encouraging responsible fiscal behavior, efficient resource use, and local revenue generation – while avoiding unintended consequences such as rewarding inefficiency or creating moral hazard.

- **Alignment of financing with function.** Fiscal transfers should allocate financial resources to different tiers of government in ways that are consistent with their assigned expenditure responsibilities, once revenue assignments and other own-source revenue (OSR) are considered. This prevents service delivery gaps by ensuring each government level has adequate resources for its mandated functions; reduces vertical fiscal imbalances, where one tier has spending responsibilities that exceed revenue capacity; and enhances accountability by clarifying which level of government is responsible for which services and how they are financed.

- **Equity and horizontal equalization.** Fiscal transfers should ensure that citizens have access to comparable levels of public services at comparable levels of taxation, irrespective of where they live. Because subnational governments have varying fiscal capacities and needs, fiscal transfers should help reduce these disparities. This promotes fairness and national cohesion by reducing inequalities in public service delivery across regions.

- **Support to national priorities.** Fiscal transfers should be structured in a way that aligns subnational fiscal behavior with broader national objectives, such as economic growth, social equity, human development, and infrastructure provision. Well-designed fiscal transfer systems ensure that federal resources support strategic national goals in areas such as education, health, infrastructure, poverty reduction, and climate resilience; and address externalities and inter-jurisdictional spillovers where the benefits of public services (such as vaccination programs, major roads, or national parks) extend beyond the boundaries of a single jurisdiction.

As with most aspects of fiscal federalism, the application of principles involves trade-offs and compromises. A transfer mechanism designed to ensure predictability, for example, may leave less space for adjustments based on performance of subnational units in delivering national priorities. Defining equity and identifying the cost of expenditure assignments can involve difficult political judgements. Equalization transfers can also undermine incentives for subnational governments to enhance OSR. Accordingly, there is substantial variation across countries in the design of transfer systems and associated institutional mechanisms.

3.3.3 Benchmarking Provincial Fiscal Transfers in Pakistan

Pakistan's national fiscal transfer system is based on the Constitution and NFC Awards.

- The NFC is a constitutionally mandated intergovernmental forum, comprising federal and provincial finance ministers and other members. Its mandate is confined to resource distribution; it has no authority for independent technical analysis or broader fiscal policy coordination. While the Constitution does not specify whether the Commission's recommendations shall be based on a simple majority or a consensus decision, the Commission has traditionally followed the consensus approach; if consensus is not reached, the previous Award continues.

- The NFC determines the distribution of federally collected revenues between the federal government and the provinces (vertical distribution) and among the provinces themselves (horizontal distribution).

- The Constitution requires the formation of the NFC every five years and specifies that it shall recommend: (i) the distribution of net federal revenues between federation and provinces (vertical distribution); (ii) the allocation among provinces (horizontal distribution); (iii) modalities for federal grants-in-aid to provinces; and (iv) borrowing powers and related fiscal arrangements. The 18th Constitutional Amendment of 2010 added Article 160(3A), which specifies that "the share of the Provinces in each Award of NFC shall not be less than the share given to the provinces in the previous Award," effectively protecting provincial revenue shares against any future reductions.

Since 1974, there have been nine NFC awards, but only four were conclusive (1974, 1991, 1997, and 2009). The first four awards followed a gap-filling approach where revenue receipts and expenditures were assessed based on actual numbers and deficit grants recommended to fill the financing gaps. However, this approach encouraged provinces to underestimate own-source tax revenue, increase spending commitments, and run deficits expecting NFC grants. It also encouraged inefficiency and allowed wealthier provinces to qualify for grants while excluding some poorer ones. The 5th NFC Award of 1995 introduced two key features: (i) it included all federal taxes in the divisible pool (net taxes collected by the federal government) with revised shares for distribution; and (ii) it provided grants-in-aid for two relatively backward provinces – Khyber Pakhtunkhwa (KP) and Balochistan.

The most recent 7th NFC Award of 2009 substantially increased resources available for fiscal transfers to provinces in the following ways:

- The collection charges of the federal government decreased from 5 to 1 percent, enlarging the overall size of the divisible pool.

- The provincial share of the divisible pool to be allocated to provinces increased from 45 percent to 56 percent in 2010–11, and to 57.5 percent in subsequent years.

- The role of KP as a frontline province against the war on terror was recognized by earmarking 1 percent of net proceeds of the divisible pool to KP.

- The Award also ensured that Balochistan received at least PKR 83 billion under the divisible pool transfers. In case the estimated share of Balochistan was less than PKR 83 billion, the balance funds would be contributed by the federal government.

The 7th NFC also introduced a multi-factor formula for the horizontal distribution of the divisible pool among provinces. This formula allocates shares based on population (82 percent), poverty and backwardness (10.3 percent), revenue collection/generation (5 percent), and inverse population density (2.7 percent). While the 7th NFC marked a departure from the earlier population-only criterion, the choice of indicators and their weights reflected a negotiated outcome rather than application of a clear legal or technical framework.

Box 3: The 7th National Finance Commission Award Formula

Total allocations to provinces under the 7th NFC Award are the sum of specific sub-allocations for population, poverty / backwardness, revenue performance, and inverse population density. This can be expressed as:

$$P_i = 0.82 * Pop_i + 0.103 * Pov_i + 0.05 * R_i + 0.027 * IPD_i$$

Where:

P_i	=	Province *i* share of the total divisible pool
Pop_i	=	Province *i* share of the total population
Pov_i	=	Province *i* share of the proportion of the total poverty / backwardness
Rev_i	=	Province *i* share of the total revenue performance
IPD_i	=	Province *i* share of the total inverse population density

82 percent of the total divisible pool is allocated based on the relative population size of the provinces. This indicator is determined using data from the 1998 population census. Each province's share of the total population of all provinces based on data from the 1998 population census. This can be represented as follows:

$$Pop_i = \frac{Population_i}{\sum_{j=1}^{4} Population_j}$$

10.3 percent of the total divisible pool is allocated based on poverty / backwardness to take account of development gaps. Provincial shares were determined using a "poverty burden" index which averages three provincial poverty / backwardness indicators: (i) poverty rate using the Household and Income Expenditure Survey (HIES) 1998/99; (ii) the human development index (HDI) from the Pakistan National Human Development Report 2003 published by the United Nations Development Programme (UNDP); and (iii) the HDI index as calculated by the Statistics Division in 2008. This can be represented as follows:

$$Pov_i = \frac{AggpovRate_i}{\sum_{j=1}^{4} AggpovRate_j} + \frac{1-UNDP_HDI_i}{\sum_{j=1}^{4} 1-UNDP_HDI_j} + \frac{1-FBS_HDI_i}{\sum_{j=1}^{4} 1-FBS_HDI_j}$$

Where:

$$AggpovRate_i = (UrbanpovRate_i * UrbanpopShare_i) + (RuralpovRate_i * RuralpopShare_i)$$

5 percent of the total divisible pool is further split between two indicators: (i) 50 percent is allocated based on the share of total federal tax revenue collected by the Federal Board of Revenue within the province; and (ii) the remaining 50 percent is allocated based on withholding tax (WHT) on electricity collected by each province. Use of federal tax revenue is intended to reflect economic contributions of each province to the divisible pool (which includes only federal tax revenues) while WHT on electricity, which is a provincial tax, is intended to measure fiscal effort. This can be represented as follows:

$$Rev_i = 0.5 * \frac{Revenue_i}{\sum_{j=1}^{4} Revenue_j} + 0.5 * \frac{WHT\ on\ electricity_i}{\sum_{j=1}^{4} WHT\ on\ electricity_j}$$

Finally, the remaining 2.7 percent of the total divisible pool is allocated based on the relative inverse population density of the province, intended to reflect the additional costs involved in providing services to dispersed populations. This can be represented as follows:

$$IPD_i = \frac{1/PopDensity_i}{\sum_{j=1}^{4} 1/PopDensity_j}$$

Table B3.1 below shows variables used to calculate current provincial shares of the divisible pool and the resulting provincial shares.

Table B3.1:
Current NFC Formula and Provincial Shares

Factor	Weighting	Factor by Province				Data Source
		Punjab	*Sindh*	*KP*	*Balochistan*	
Population	82.0%	57.35%	23.71%	13.82%	5.11%	1998 census
Poverty	10.3%	23.16%	23.41%	27.81%	25.62%	HIES 1998–99, UNDP HDI 2003, and Federal Bureau of Statistics HDI 2008

Revenue Collection	5.0%	44.94%	48.63%	4.85%	1.58%	FBR Revenue Data
Inverse Population Density	2.7%	4.32%	7.18%	6.51%	81.99%	1998 census
Provincial Share		**51.78%**	**24.48%**	**14.62%**	**9.13%**	

Pakistan's provinces have since experienced significant economic and demographic changes. The merger of the Federally Administered Tribal Areas with KP has also had significant impact on relative population shares. Table B3.2 provides a rough indicative estimate of how provincial shares might change if the latest available data is applied.

Table B3.2:
NFC Provincial Shares Recalibrated with Latest Data

Factor	Weighting	Factor by Province				Data Source
		Punjab	*Sindh*	*KP*	*Balochistan*	
Population	82.0%	53.40%	23.29%	17.08%	6.23%	2023 census
Poverty	10.3%	16.37%	23.64%	24.45%	35.55%	HIES 2024–25 and UNDP HDI 2019–20
Revenue Collection	5.0%	56.98%	35.37%	6.50%	1.15%	FY 2022–23 FBR Revenue Data
Inverse Population Density	2.7%	5.37%	8.45%	8.32%	77.86%	2023 census
Provincial Share		**48.23%**	**23.77%**	**17.07%**	**10.93%**	

Although straight transfers are not direct components of the NFC transfers, they have been included in the NFC negotiations since the 1991 NFC Award. These transfers return specific federal receipts to their province of origin after a standard collection fee (usually 2 percent) is deducted. They are rule-based, excluded from the divisible pool, and differ from formula-based shares. They include: (i) royalty on crude oil, which is allocated based on production of crude oil in each province; (ii) royalty on natural gas, allocated based on where the well-head is located; (iii) Gas Development Surcharge (GDS), which is distributed based on the average rate per million British thermal units per province; and (iv) federal excise duty on natural gas, which is distributed based on collection origin. Grants-in-aid are also a permanent feature of almost all NFC awards, provided by the federal government to lower tiers of government, either regularly or on a need basis.

- The 1975 NFC awarded grants-in-aid only to KP and Balochistan, while the 1991 NFC awarded grants to all four provinces. In both Awards, the amounts were fixed and had a sunset clause.

- The 1997 NFC Award introduced performance-based matching grant incentives for provincial own-source revenue (OSR) mobilization. However, due to design weaknesses, fiscal stress, and credibility problems, the scheme saw limited uptake and had little sustained impact on provincial tax effort.

- The 2009 7th NFC Award entitled Sindh province to a grant-in-aid equivalent to 0.66 percent of the provincial share in the net proceeds of the divisible pool (after deducting the 1 percent war-on-terror allocation for KP) as compensation for losses on account of abolition of Octroi and Zilla Tax.[8]

The current general revenue-sharing formula brings some important benefits. Firstly, it provides some degree of predictability and stability for provincial fiscal planning, insulating transfers from annual federal discretion. Secondly, it supports provincial autonomy by securing a transparent share of nationally collected revenues, protecting provinces from discretionary federal controls. Finally, and perhaps most importantly, it is consensus-based, reflecting the political autonomy of provinces, with the NFC establishing a platform for consensus-building between federal and provincial governments.

However, from a technical perspective, the current approach also has some important weaknesses. The mechanism for distributing revenue is based on an arbitrarily determined pool of resources which are distributed between provinces based on multiple factors with again arbitrarily determined weights. This leads to the following problems:

- **Misalignment between financing and function.** The 7th NFC Award significantly increased the provinces' share of the divisible pool. The subsequent 18th Constitutional Amendment significantly increased provincial responsibilities and shifted additional important revenue assignments to provinces. There was no attempt throughout these changes to equate financing with functional needs. As discussed in Section 1, increased transfers to provinces may have contributed to the emergence of structural federal fiscal deficits, with the federal government insufficiently resourced to finance its constitutional expenditure assignments (e.g., defense, debt servicing, national infrastructure, and other development spending).

- **Incomplete horizontal equalization.** Although multiple factors are included in the transfer formula, it is not explicitly designed to achieve horizontal fiscal equalization. The continued heavy weighting on population-based transfers undermines the capacity of poorer or less developed provinces to provide comparable public services. As the formula is not based on explicit costing of minimum service delivery standards or comprehensive expenditure needs, it weakens the equalization objective.

[8] Octroi was a local tax levied by municipalities on goods entering a city or local government area for consumption, use, or sale within that area. It was typically assessed and collected by municipal corporations at checkpoints on roads, rail, ports, or airports, often by weight or ad valorem. Historically, it was a major local government revenue source in Sindh, though widely criticized for impeding the free flow of trade and encouraging rent-seeking. Zilla tax was an "export" tax levied by rural District (Zilla) Councils on goods leaving the district – essentially the rural counterpart to urban Octroi. Together, Octroi (urban import tax) and Zilla (rural export tax) were often referred to as OZT. They were abolished in 1999 and replaced by "OZT Grants" that are transferred to provinces and then on to local governments using a different allocation formula.

- **Absence of incentives for fiscal effort, efficiency, and delivery of national priorities.** The system does not provide strong incentives for revenue mobilization by provinces. The revenue variable provides a measure of economic activity rather than tax effort, as provinces are rewarded for contributions to federal revenues (administered by the Federal Board of Revenue) and collections from withholding tax on electricity within their territory rather than for provincial tax effort. Inherently, it rewards fiscally strong provinces with higher revenue collection. The uneven provincial capacity to generate federal revenues is therefore reflected in the transfer system, arguably exacerbating interprovincial disparities. The system also disincentivizes measures that would reduce provincial populations, including family planning programs. Finally, the Award fails to address financing for functions of national importance, which fall under the jurisdiction of the CCI. Consequently, these functions continue to be financed by the federal government, leading to an increased federal fiscal burden, and accumulation of federal public debt service obligations on loans taken for national projects.

Box 4: International Models for Intergovernmental Fiscal Transfer Arrangements

Institutional intergovernmental fiscal transfer arrangements can be classified into four models globally:

- **Central agency model** (e.g., China, Japan). Under this model, a central government agency (usually the Ministry of Finance) is responsible for determining fiscal transfers to subnational governments. It controls both the size of transfers and their distribution formula or criteria. Subnational governments have little or no role in negotiating allocations.

- **National legislature-led model** (e.g., Brazil, Ethiopia). Under this model, the national parliament or legislature determines fiscal transfer rules and allocations, either through constitutional provisions, national finance laws, or annual budgets. Subnational governments can influence allocations through political representation or advocacy in the legislature.

- **Intergovernmental forum model** (e.g., Canada, Germany, Nigeria, Australia). This model involves negotiations between representatives of the federal and subnational governments through formal intergovernmental forums. Federal and provincial/state ministers or officials participate in periodic negotiations. Agreements are often consensus-based and formalized through executive decisions or legal instruments.

- **Independent agency model** (e.g., India, South Africa). Under this model, an independent constitutional or statutory body – such as India's Finance Commission – determines fiscal transfers and makes recommendations to government authorities. Vertical and horizontal imbalances are identified and addressed based on objective data regarding revenue needs and expenditure assignments.

Pakistan follows the intergovernmental forum model, where consensus among stakeholders determines fiscal arrangements. This model emphasizes consensus between equal parties, serving important political goals. However, the absence of formal technical processes or objective benchmarks leads to shortfalls from technical best practices.

3.4 The Role of Local Government

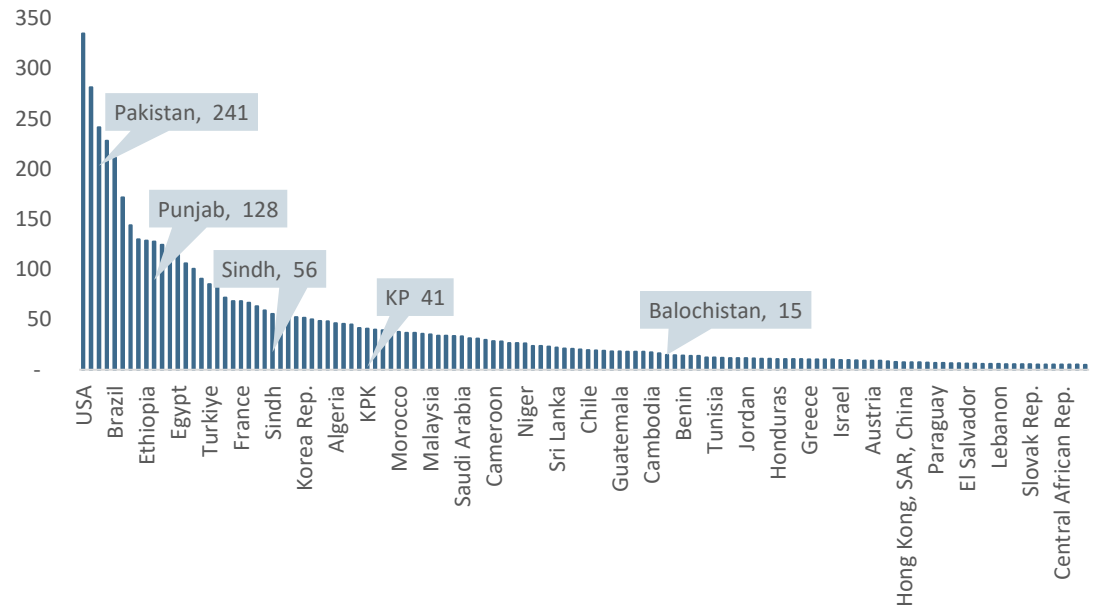
3.4.1 Principles for Local Government

Globally, division of responsibilities between provincial and local government varies, depending on overall fiscal federalism arrangements. As with federal–provincial assignment of functions, the subsidiarity principle also guides the division of responsibilities between provincial/state and local governments. However, as explained above, there are exceptions to this rule. Applying the subsidiarity principle suggests local governments should, at minimum, play an important role in water supply, local transit, street maintenance, refuse collection, and firefighting.

It is common for large metropolitan centers to be granted special status. Large metropolitan areas often have autonomous two-tier regional governments with powers equivalent to those of a region/province and a direct interface with the central government. Reflecting their large populations, technical capacity, and fiscal resources, cities such as Shanghai and Beijing in China, Tokyo in Japan, Bangkok in Thailand, Seoul and Busan in South Korea, and Berlin, Bremen, and Hamburg in Germany have been granted provincial status.

The very large size of Pakistan's provinces would suggest substantial scope for empowered sub-provincial levels of government. The populations of Punjab and Sindh are equivalent to around the 12th and 26th largest countries in the world, accounting for approximately 1.6 percent and 0.7 percent of the world's population, respectively (Figure 2). At this scale, lower levels of government could play an important role in shortening accountability loops and achieving better adherence to the "home rule" principle without undermining scale economies or creating undue administrative costs.

Figure 2:
Global Population Rankings (excl. India and China) and Pakistan Provinces



Source: World Development Indicators, Pakistan Bureau of Statistics.

A fiscal federalism system aligned with international good practice would enable effective local government by:

- Applying transparent, rule-based formulas for distributing provincial resources to local governments.
- Ensuring predictability and stability of transfers, enabling districts and service delivery units to plan and execute budgets credibly.
- Promoting horizontal equity by allocating resources based on objective criteria such as population, poverty, cost differentials, and service delivery needs.
- Supporting allocative efficiency by aligning sub-provincial financing with expenditure responsibilities in sectors such as health and education.
- Providing a forum through which sub-provincial governments participate in fiscal decision-making, including the allocation of transfers, thereby strengthening accountability and legitimacy.

3.4.2 Local Government Roles and Resources in Law

The Constitution of Pakistan provides a framework for local governance. The design, structure, and functioning of local governments are determined by provincial legislation following the 18th Constitutional Amendment. Article 140A of the Constitution obligates provinces to "*establish a local government system and devolve political, administrative and financial responsibility and authority to the elected representatives of the local governments*." This provision recognizes local government as a provincial subject and grants provinces autonomy in designing their own systems. The Constitution does not prescribe a uniform structure, tenure, or electoral system, resulting in considerable variation across provinces. As a result, each province has enacted its own local government legislation under Article 140A. These laws define the structure, powers, functions, and financial arrangements of local governments. While these laws differ in detail, they generally establish multi-tier local government systems, provide for elected councils, and outline administrative oversight by provincial governments. The structure and role of local governments is summarized in Table 5, with more detail in Annex 2 and Annex 3.

Table 5:
The Structure and Scope of the Local Governments in all Provinces

Province	Structure of Local Government Responsibilities	Scope of Responsibilities
KP	Local government (LG) structure is split into rural and urban: (i) rural areas constitute a three-tier structure with district councils, tehsil councils, and village councils; (ii) urban areas include a three- or two-tier structure depending on population	Primary and secondary education, primary healthcare, local infrastructure, small development works, zoning, water management, solid waste management, dispute

	including city board (in Peshawar only), town/tehsil council, and neighborhood council.	resolution, and other municipal services.
Punjab	LG structure is split into a two-tier structure in rural and urban areas, and additional district education and health authorities. The upper tier constitutes tehsil councils in rural areas and metropolitan corporations, municipal corporations, municipal committee or town committee in urban areas, depending on population and area. The lower tier constitutes union councils in both urban and rural areas. Punjab also has separate education and health authorities.	Primary and secondary education and health services are delivered by the education and health authorities. Other LG institutes are responsible for municipal services including water supply and sanitation, solid waste management, local roads and streets, local markets, etc.
Sindh	LG structure is split into rural and urban: (i) urban LGs constitute metropolitan corporations, municipal corporations, municipal committee, town committee, and union committee, based on population size and administrative importance; (ii) rural LG structure constitutes a two-tier structure including district council and union council.	LGs are largely limited to municipal services (e.g., water, sanitation, solid waste management), roads, public spaces, and oversight and implementation of some development works and infrastructure projects in urban areas.
Balochistan	LG structure is split into rural and urban: (i) rural is a two-tier structure constituting district council and village/union councils; (ii) urban constitutes metropolitan and municipal corporations, and municipal committees (depending on population size).	LG functional responsibilities largely include municipal services.

Sources: World Bank staff compilation based on various Provincial Local Government Acts; and Rid and Murtaza (2018) "The Local Government System in Sindh."

Transfers between provincial and local governments in Pakistan are governed by Provincial Finance Commissions (PFCs). PFCs are responsible for determining both the vertical distribution of resources between each provincial government and its local governments, and the horizontal distribution between local governments within the province.

Table 6:
Provincial–Local Fiscal Arrangements

	Punjab	KP	Sindh	Balochistan
Latest PFC Award (status)	Interim 3rd PFC Award 2016–17 (last formally notified; not renewed)	PFC Award periodically notified (latest 10th Award in 2020–21)	PFC Award exists (latest 4th Award in 2007–08); framework continues with updates	PFC Award exists (latest 5th Award in 2006–07) but often outdated/irregular

Nature of Award	Interim, transitional	Regular and institutionalized	Periodic, rule-based	Periodic but weakly institutionalized
Divisible Pool	All revenues excluding obligatory expenditures	All revenues excluding obligatory expenditures	All revenues excluding non-tax revenues and obligatory expenditures	All revenues excluding (i) GST (2.5% federal+ district share); (ii) property tax payable; and (iii) net capital receipts
Vertical Share to LGs (de jure)	44% of Net Provincial Consolidated Fund in 2016–17 (37.5% allocable + 6.5% special grants)	~30–35% of provincial divisible pool (varies by award)	~40% of provincial divisible pool	~30–35% of provincial resources
Horizontal Distribution	Multi-factor: population (75%), poverty, expenditure needs, cost of service delivery	Multi-factor: population, backwardness, infrastructure gaps, fiscal need	Multi-criteria: population, poverty/backwardness, revenue effort	Limited formula; heavy reliance on population and equalization
Current Transfer Mechanism (de facto)	Annual budget allocations + administrative releases by Finance Dept and Local Government & Community Development; partial reference to 2016–17 "PFC share"	Formula-based transfers under notified PFC, reflected in budget and releases	PFC-driven transfers, though affected during LG suspensions	Block grants and discretionary releases, limited formula application
Predictability and Transparency	No current award, ad-hoc releases, contested compliance	Clearer rules, regular notifications	Formula exists, implementation sometimes disrupted	Formal award exists, weak execution capacity
Fiscal Autonomy of Local Governments	Limited discretion over budgets; heavy provincial control; weak OSR mobilization	Clear expenditure authority; better alignment between functions, funds, and authority	Formal revenue and spending powers exist but constrained by provincial interventions	Narrow revenue base, high dependence on provincial grants

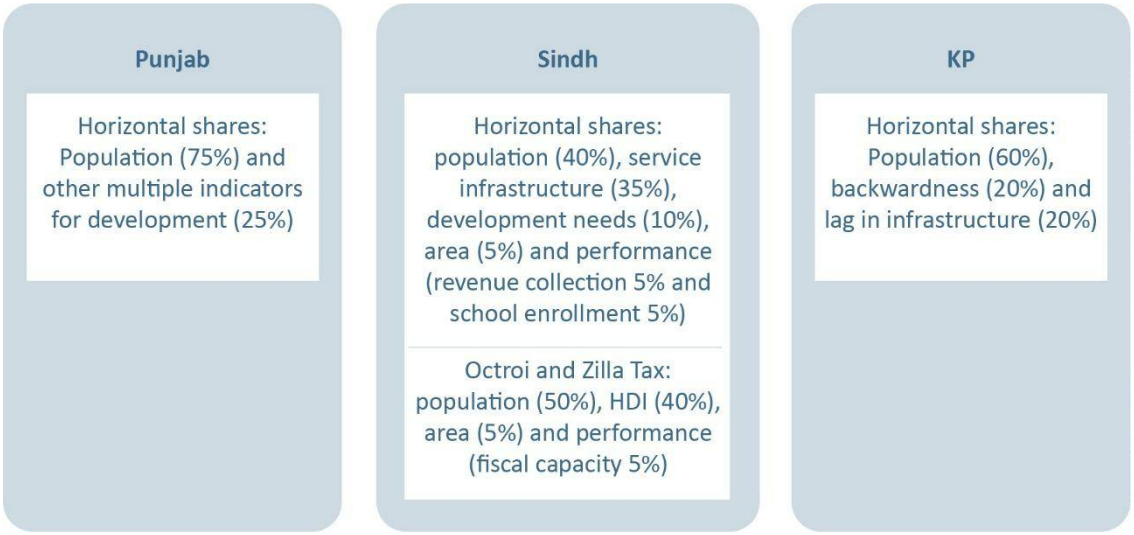
Source: Khan and Aftab (2025) "Beyond the NFC Award."

In Pakistan's case, provinces retain significant control over the vertical share of resources. Each province first deducts certain priority or obligatory expenditures from its revenues; the remainder becomes the allocable amount or the divisible pool available for transfer to local governments. In KP, the PFC defines "obligatory expenditures" as mostly non-discretionary public expenditures. In Sindh, "priority expenditures" are determined at the province's discretion, with exclusion of non-

tax revenue and no formal constraints. Punjab sets an arbitrary share of its total revenues to allocate to its PFC Award. In Balochistan, discretionary non-formula-based provincial grants are transferred to the local governments and there has been significant variation in these. In addition to these transfers, local governments generate and spend their OSR – such as municipal taxes and fees – though these are not recorded in provincial financial management systems or reported in national fiscal accounts.[9] While the above explains each province's last notified PFC Award, the actual transfers to local governments have been significantly low and volatile.[10]

Each province applies its own criteria for horizontal distribution of the allocable amount. KP's PFC provides for salaries (based on prior year actuals), non-salary expenses (including conditional education grants, a district incentive program, electricity costs, and miscellaneous funds), development allocations, and block grants based on past transfers. Punjab's last notified PFC uses a modified Representative Expenditure System (RES) for general purpose and development grants to achieve horizontal equalization. However, additional transition grants are allocated to make up for any difference between each local government's baseline expenditure and the general purpose grants allocations, undermining the equalization impact of the expenditure needs formula. Sindh's PFC Award applies discretionary criteria and has not been formally updated since 2008. In Balochistan, provincial grants-in-aid include general (unconditional) grants, purpose specific grants (e.g., sanitation, waste management, etc.), and development grants under the Provincial Public Sector Development Programme. These grants are largely incremental and based on provincial government's discretion.

Figure 3:
Allocation and Distribution of Provincial Resources as per the Most Recent Provincial PFC



Source: World Bank staff.

[9] Khan and Aftab (2025) "Beyond the NFC Award."
[10] A recent study by the Pakistan Institute of Development Economics estimates that the local government transfers in Sindh reduced from 15.7 percent of total provincial revenue in FY12 to 5.8 percent by FY26. In Punjab it fell from 28 percent to 19.1 percent, while in KP it reduced from 30 percent to 22 percent. In Balochistan, local government share of provincial revenue fell from 5.8 percent to 0.2 percent over the same period. Khan and Aftab (2025) "Beyond the NFC Award."

3.4.3 Local Government Roles and Resources in Practice

Despite the formal framework outlined above, local governments in Pakistan operate under significant constraints that undermine their ability to respond to local demands in practice. Three interconnected problems stand out: provincial dominance over local decision-making, inadequate and unpredictable financing, and chronic institutional instability.

- **Provincial governments maintain tight control over local operations, often blurring the line between oversight and interference.** Across all four provinces, key executive positions at the local level are filled by provincial appointees rather than elected representatives – in Punjab and KP, chief executives are provincially appointed even where councilors are directly elected. Punjab's autonomous health and education authorities include local government members but are managed by provincial appointees, while Sindh's chief executive officers are similarly drawn from the provincial bureaucracy. Local budgets require provincial approval, and local governments cannot introduce new taxes without provincial consent, leaving them heavily reliant on property taxes and fees for their own revenue.

- **The system governing transfers from provinces to local governments compounds this dependency.** Unlike the NFC Award, which the Constitution mandates, provincial governments are under no equivalent obligation to notify PFC Awards, and in practice they rarely do so. The most recent awards were notified in KP in FY20–21, Punjab in FY16–17, Sindh in FY07–08, and Balochistan in FY06–07, leaving local governments dependent on ad hoc transfers that provinces can dilute at will. Of the four provinces, only KP operates a reasonably regular, formula-based transfer system. Punjab has notified just three PFC Awards in total. Local governments have formal representation in PFC bodies in KP and Sindh, but not in Punjab or Balochistan, further limiting their ability to advocate for adequate allocations. A participatory intergovernmental forum to inform the design of fiscal transfers from provincial to local governments is missing across all four provinces.

- **Underlying both problems is a deeper issue of institutional instability rooted in perverse incentives and power structures.** Local governments across Pakistan have been repeatedly formed, dissolved, and reconstituted in line with shifts in provincial political leadership, eroding institutional memory and long-term planning capacity. Provincial legislation routinely permits provinces to dissolve local governments for financial breaches and install administrators pending new elections, but, crucially, no penalties exist for missing election deadlines, enabling provinces to leave local governments inactive for extended periods. Punjab has not held local elections since 2015 and has since been administered entirely by government officials with no elected representation. Local government laws have been amended or replaced multiple times since the 18th Constitutional Amendment – four times in Punjab and three times in KP – often reflecting political priorities rather than development needs.

The cumulative effect is a significant lack of clarity about the respective roles of provincial and local governments. Overlapping mandates generate coordination failures and accountability gaps, while weak technical capacity at the local level – particularly in rural areas – is used to justify continued provincial oversight, thereby perpetuating the cycle. Without constitutional protection

for local governments' tenure and mandate and more adequate and predictable financing, the formal framework of devolution remains vulnerable to political expediency.

3.5 Conclusions

Pakistan has made meaningful progress on fiscal federalism arrangements since 2010, but this analysis suggests continued deviation from good practice across four critical dimensions:

- **Expenditure Assignments.** The 18th Constitutional Amendment moved in the right direction by devolving expenditure assignments for social services and economic functions to provinces. However, significant misalignments remain, with the federal government continuing to operate in constitutionally devolved areas and local governments left without clearly defined or adequately resourced functional mandates.

- **Revenue Assignments.** The 18th Constitutional Amendment strengthened provincial tax authority, particularly over GST on services, property taxes, and natural resource royalties. However, these measures fragmented the tax system into five competing jurisdictions. The resulting complexity imposes high compliance costs on businesses, discourages interprovincial trade, and has constrained aggregate revenue performance. Large potential tax bases, particularly agriculture income and property, remain significantly underutilized.

- **Federal–Provincial Fiscal Transfers.** The NFC-based fiscal transfer system provides predictability and protects provincial revenue shares, but its design is misaligned with functional needs in three important respects. First, it has contributed to a structural federal fiscal deficit by transferring resources to provinces without a corresponding and commensurate adjustment in expenditure responsibilities, providing windfall gains to provinces and a persistent revenue shortage at the federal level. Second, the horizontal distribution formula does not achieve genuine fiscal equalization, with resource allocation still heavily dependent on population. Finally, it provides no meaningful incentives for provincial revenue effort or service delivery performance. The transfer mechanism arguably also deters federal revenue effort, with a large share of all revenues raised from most tax handles being automatically transferred to provinces.

- **Local Government.** Ensuring an appropriate and empowered role for local government remains the most significant gap. Despite constitutional recognition under Article 140A, local governments are fiscally dependent, institutionally unstable, and effectively subordinate to provincial discretion. PFC Awards are infrequent and non-binding, transfers are ad hoc, and OSR is minimal. The devolution envisaged in 2010 has not extended meaningfully below the provincial tier.

04 Fiscal Federalism Outcomes

This section moves beyond theory and general good practice to examine specific outcomes of current fiscal federalism arrangements since the 2010 18th Constitutional Amendment and 7th NFC Award. The section examines outcomes in terms of: (i) observed impacts on the aggregate fiscal deficit; (ii) provincial and federal revenue performance; (iii) quality and allocation of provincial expenditures; and (iv) the functioning of fiscal federalism institutions.

4.1 A Structural Federal Fiscal Deficit

Revenue performance at both the federal and provincial levels stagnated following the 7th NFC Award in 2010. The 7th NFC Award set targets for both federal and provincial governments to progressively increase tax revenue to 13.25 percent and 1.15 percent of GDP, respectively, by FY15 to maintain fiscal sustainability. However, these targets failed to materialize owing to a combination of tax policy and administration challenges (see Section 4.2). Tax revenue collected by the Federal Board of Revenue (FBR), including fiscal transfers, rose only marginally – from 7.9 percent of GDP in FY09 to 8.5 percent by FY15, reaching a mere 8.8 percent by FY24 (Figure 4). Provincial own-source tax revenue grew at a faster pace but also fell short of the target, edging up from 0.3 percent of GDP in FY09 to approximately 0.7 percent by FY24. Overall, Pakistan's total revenue collection – encompassing both tax and non-tax revenue – effectively stagnated over FY09–24, averaging around 12.5 percent of GDP, substantially below the levels observed in peer countries.[11]

Concurrently, the 7th NFC Award led to a significant increase in federal transfers to provincial governments, rising by approximately 2 percentage points of GDP on average during FY10–24 relative to FY02–09. During this period, fiscal transfers to provincial governments grew from an average of 3.2 percent of GDP during FY02–09 to an average of 5.1 percent over FY10–24 (Figure 3). Conversely, federal post-transfer tax revenues declined marginally from an average of 4.7 percent of GDP over FY02–09 to an average of 4.2 percent over FY10–24 (Figure 4).

Furthermore, federal expenditures did not adjust to reflect the narrower functional assignment emerging from the 18th Constitutional Amendment. Despite the change in federal expenditure assignments (i.e., the abolition of the list of concurrent responsibilities limited federal responsibilities to natural resources, electricity, and regulatory functions), the federal government continued to operate in areas constitutionally assigned to provinces. Total federal expenditure increased from an average of 11.2 percent of GDP during FY02–09 to 13 percent during FY10–24. Even excluding interest payments, federal spending remained broadly stable at an average of 8.4 percent of GDP across the pre- and post-7th NFC Award periods.

[11] The average revenue to GDP ratio for lower middle-income countries stood at 14.4 percent of GDP in 2018 according to the World Bank World Development Indicators.

Box 5: Drivers of Federal Expenditure

The continuation of federal expenditure at around pre-2010 levels was driven by several interrelated factors. These factors were not all related to fiscal federalism arrangements, and included:[a]

- **A large and increasing interest expenditure burden.** Interest expenditures increased from 3.5 percent of GDP in FY10 to around 8 percent of GDP by FY24, with some interest costs being borne for expenditures with national benefits (e.g., energy subsidies, national infrastructure, defense).

- **Continued federal spending on devolved subjects.** Federal spending on devolved topics increased from 0.5 to 0.7 percent of GDP over FY08–24, including 0.5 percent of GDP on BISP by FY24. The federal government made progress in reducing spending on most devolved topics over FY08–24 (see "Other Devolved Topics" in Figure 6) but it was largely offset due to the increasing costs associated with BISP.

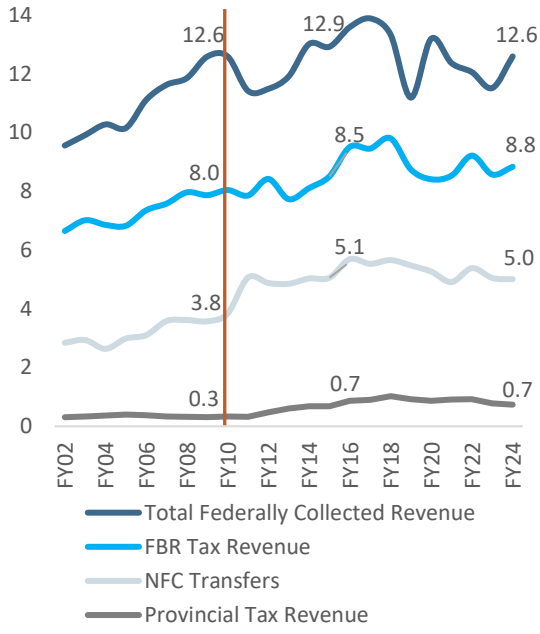
- **Continued growth in the number of civil servants.** The number of civil servants engaged in devolved functions has remained unchanged through FY24. Furthermore, federal employment in non-devolved sectors increased by 85 percent between FY09 and FY24.

- **Successive economy-wide shocks, which increased spending needs and shrank revenue bases.** Exchange rate depreciation alone added 7.8 percentage points of GDP to the debt stock in FY22 while COVID-19 pushed expenditures to 20.3 percent of GDP. The 2022 floods destroyed infrastructure and shrank productive capacity, simultaneously constraining fiscal space further and adding to the debt burden.

- **Contingent liabilities – dominated by sovereign guarantees to loss-making power-sector state-owned enterprises, commodity financing, and China–Pakistan Economic Corridor-related loans.** Increases in explicit contingent liabilities alone are estimated to have added 7.6 percentage points of GDP to the debt stock over FY12–22. The resulting growth in the debt stock affected fiscal balances over the medium term through the associated stream of interest expenditures.

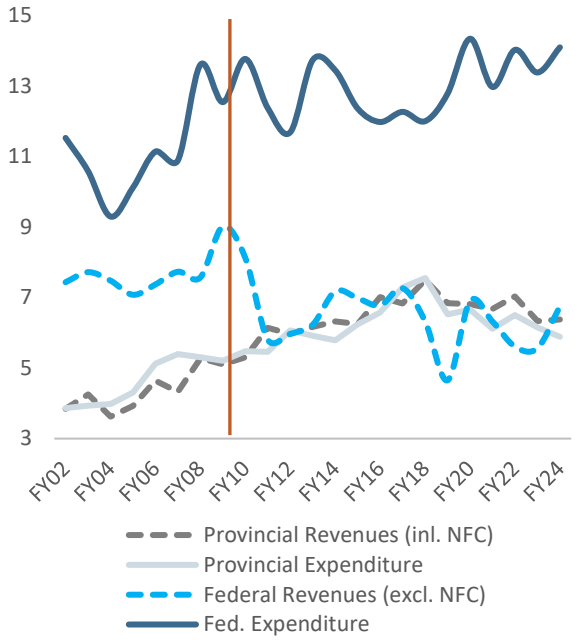
a - A broader discussion of the drivers of the federal fiscal can be found in World Bank (2023) *Pakistan Federal Public Expenditure Review 2023*.

Figure 4: Federally Collected Revenue, NFC Transfers and Provincial Tax Revenue (% GDP)



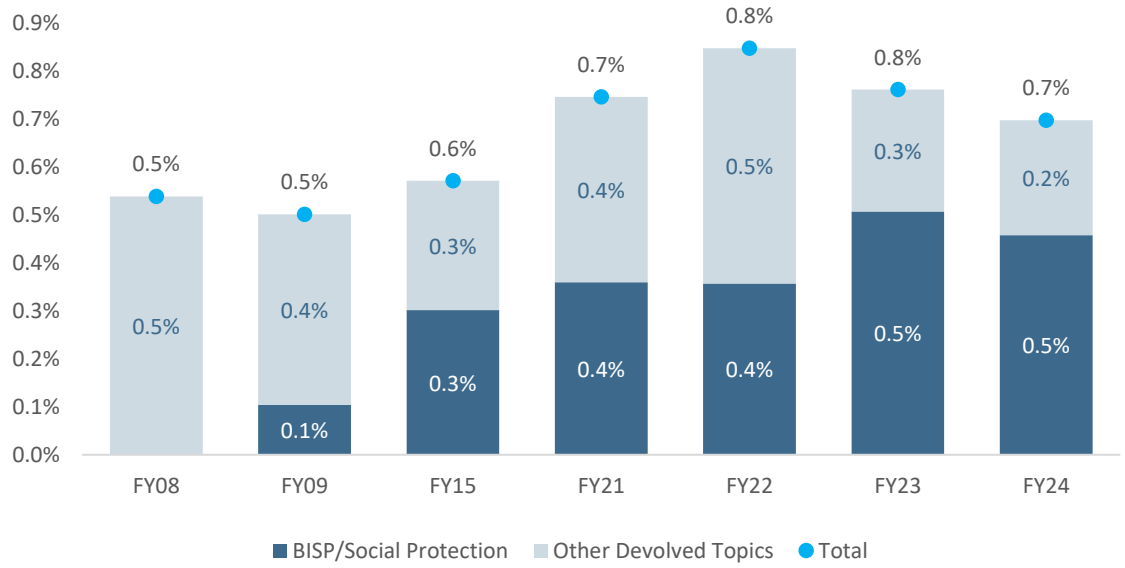
Source: Ministry of Finance.
Note: Total Federally Collected Revenue includes FBR tax revenue and federal non-tax revenue.

Figure 5: Federal and Provincial Revenue and Expenditure (% GDP)



Source: Ministry of Finance.
Note: Provincial Revenues include provincial own-source tax and non-tax revenue and NFC transfers.

Figure 6:
Federal Spending on Ministries Covering Constitutionally Devolved Topics (% GDP)



Source: World Bank staff calculations based on PIFRA data and Fiscal Operations, Ministry of Finance.
Note: BISP/Social Protection includes federal spending on the following programs: BISP, Pakistan Bait-Ul-Mal, National Poverty Graduation Programme, Sehat Tahafuz. Other Devolved Topics include all federal spending on Ministries whose main subject area of focus is not on the Constitution's federal list (e.g., agriculture, rural development, social services, education, health).

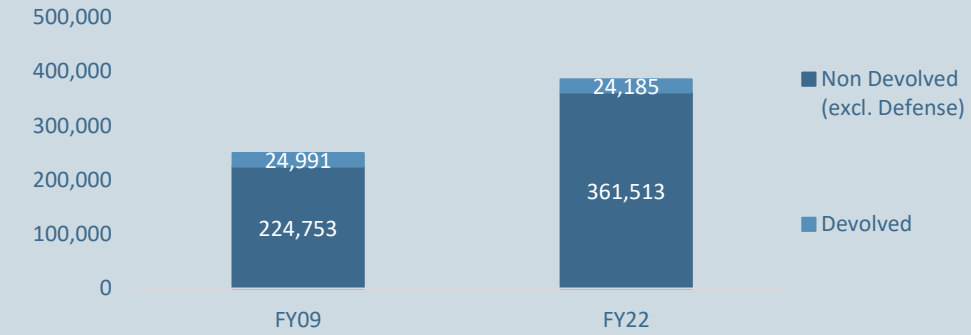
Box 6: Federal Civil Service Post-18th Constitutional Amendment

Devolution did not lead to a reduction in the number of federal civil service employees. The 18th Amendment to the Constitution of Pakistan devolved substantial administrative authority to the provinces. Essential service delivery obligations, including those related to education, health, and social welfare, were assigned to provinces. However, federal employment did not decline in line with the narrowing of the federal government's functional roles. Key observations include:

- **Stagnation in devolved areas.** As of FY09, approximately 25,000 federal employees were engaged in functions slated for devolution. This number has remained unchanged through FY24, indicating limited progress in transferring human resources to provincial control (Figures B6.1 and B6.2).

- **Growth in non-devolved areas.** Federal employment in non-devolved sectors has increased significantly, with a net rise of 191,004 employees (85 percent) between FY09 and FY24 (Figures B6.1 and B6.2). The increase is largely attributed to the expansion of non-military security personnel. Relevant units, originally designed for border security, now perform domestic policing roles – a function constitutionally devolved to provinces. Although these forces operate at the provincial level, their salaries are 70 percent federally funded, with provinces contributing only 30 percent as a special allowance.

Figure B6.1:
Federal Employees by Topic (FY09 and FY22)



Source: World Bank staff calculations based on data extracted from the SAP employee database.

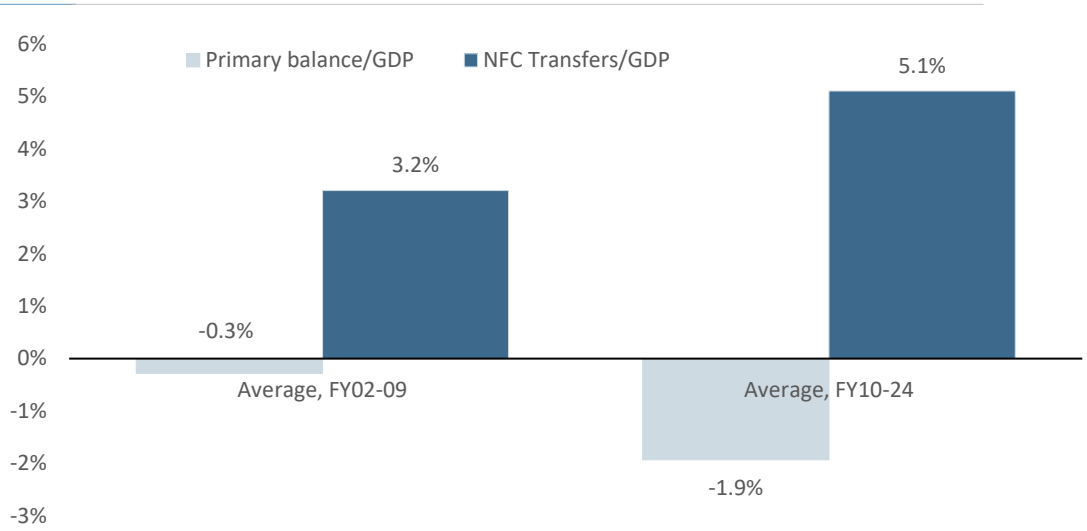
Figure B6.2:
Growth in Federal Employees by Ministry (Fastest Growing Ministries)



Source: World Bank staff calculations based on data extracted from the SAP employee database.

The increase in fiscal transfers without a commensurate rationalization of federal expenditures following the 7th NFC Award, coupled with the stagnation of revenue collection, gave rise to a structural widening of the federal fiscal deficit. Pakistan's fiscal deficits increased from an average of 3.2 percent of GDP over FY02–09 to 6.2 percent between FY10 and FY25, owing to a narrow tax base, low revenue mobilization, and rigid expenditure patterns. Furthermore, the misalignment of financing and function between federal and provincial levels was an important contributor to the increased fiscal deficits and growing debt burden. The loss in federal revenues as transfers (1.9 percent of GDP) was roughly equivalent to the increase in federal primary deficits post-devolution (1.7 percent of GDP) (Figure 7).

Figure 7:
Federal Primary Balance and Transfer to Provinces (% GDP)



Source: World Bank staff calculations based on data from the Ministry of Finance.

In contrast to federal deficits, provinces were able to run balanced budgets with heavy reliance on federal transfers and limited increase in own-source tax revenue. Around 70–90 percent of total provincial expenditure is met through federal tax revenues and other federal transfers. At the same time, provincial OSR remains considerably below potential, reflecting revenue base fragmentation and coordination problems, financing less than 10 percent of provincial expenditure in KP and Balochistan and up to only 20 percent in Punjab and Sindh. Constrained by a restrictive regulatory framework, provincial debt also remains low compared with other federal countries (Box 7), while large tax bases – notably agricultural income and property – remain substantially untapped. Nevertheless, expenditure requirements to deliver adequate public services and meet infrastructure needs are substantially higher and cannot be met within the current provincial fiscal space, underscoring the need to enhance provincial OSR.

Box 7: Provincial Debt Regulatory Framework and Outcomes

Pakistan's provincial debt levels are modest in absolute terms and compared to other large federal countries. The constitutional and legislative framework governing provincial borrowing

is restrictive, effectively limiting the channels through which provinces can accumulate debt, insulating the broader fiscal position from subnational risk.

The Constitution and the Fiscal Responsibility and Debt Limitations Act (FRDLA) significantly constrain provincial borrowing. Article 167 of the Constitution permits provinces to raise domestic loans only within limits set by the NEC. The most recent NEC ceiling, established in 2017, stands at 0.85 percent of GDP for all provinces combined, allocated across provinces based on the prevailing NFC Award formula. External financing is on-lent by the federal government through Subsidiary Loan Agreements. Critically, Article 167(3) prohibits provinces from raising any new loans without federal government consent if any federal loan or guaranteed loan remains outstanding. Given provinces' standing exposure to on-lent loans, this consent is effectively binding. The FRDLA further limits provincial borrowing indirectly through the public debt ceiling of 60 percent of GDP and a debt reduction path. In practice, however, Pakistan has breached both rules, based on the FRDLA's escape clause. More binding is the FRDLA's cap of 2 percent per year on new guarantees, and the stock limit of 10 percent of GDP, which excludes guarantees for commodity operations.

Current provincial debt consists mainly of on-lent external loans. External debt has been on-lent to provinces by the federal government and amounted to approximately US$14.8 billion or 16 percent of external public debt at end-FY25.[a] Within provinces, Punjab is the largest borrower at US$6.15 billion (7 percent of total public external debt), followed by Sindh at US$5.16 billion (5 percent) and KP at US$2.9 billion (3 percent). Balochistan (US$375 million) maintains a comparatively small exposure. Domestic provincial debt is low. Punjab and KP report no outstanding domestic debt as of December 2025, while in Sindh domestic debt stood at around US$43 million at end-FY25, less than 1 percent of the province's total outstanding debt.[b] Finally, the federal government reports outstanding domestic loan guarantees to provincial governments for commodity operations of around US$774 million as of end-FY25.[c]

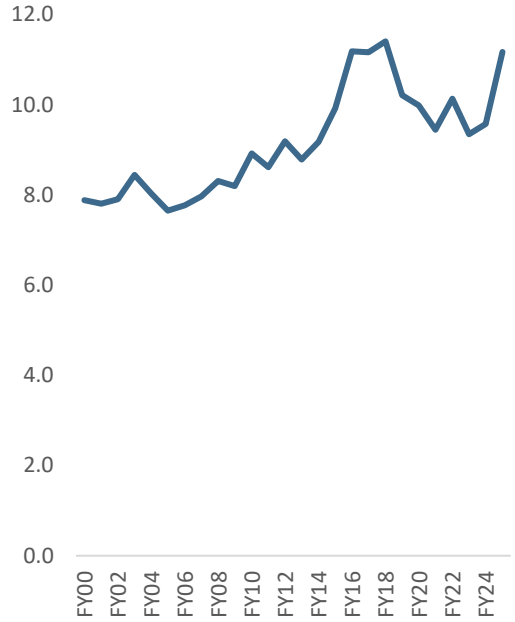
Despite limited fiscal risk from provincial borrowing, some aspects of the provincial debt framework would benefit from greater transparency. The absence of a single consolidated report makes obtaining a complete picture of provincial debt difficult, requiring combining figures from multiple sources, including federal and provincial debt bulletins, and the federal fiscal risk statement. Limited information is available also on guarantees provincial governments extent to provincial state-owned enterprises or public-private partnerships. Finally, the risk management framework for federal on-lending to provinces remains limited, with loans on-lent at original terms by the Economic Affairs Division without risk assessment or mitigation measures.

a Debt Management Office (2026) *Debt Bulletin 1HFY-2026*.
b Government of Balochistan (2025) *Balochistan Foreign Debt Management Policy 2025;* Government of Khyber Pakhtunkhwa (2025) *Debt Statistical Bulletin Jul 2025 till Dec 2025*; Government of Punjab (2025) *Punjab Debt Bulletin December 2025*; Government of Sindh (2025) *Sindh Debt Bulletin July–June 2025.*
c Domestic and External Debt Data. State Bank of Pakistan.

4.2 Revenue Constraints

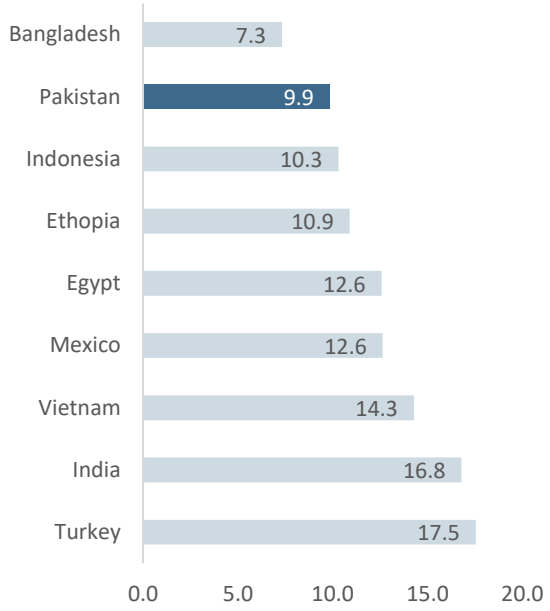
Consolidated tax revenue collection in Pakistan has consistently underperformed and remained below peer countries. Pakistan's tax revenue to GDP ratio has averaged 9.9 percent over FY10–25. While aggregate revenue shows some improvement since the fiscal federalism reforms of 2010, performance has been volatile, and Pakistan continues to perform poorly against most regional and international peers and against its own estimated tax capacity of 22 percent of GDP (Figures 8 and 9).

Figure 8:
Tax Revenue (% GDP)



Source: Ministry of Finance.

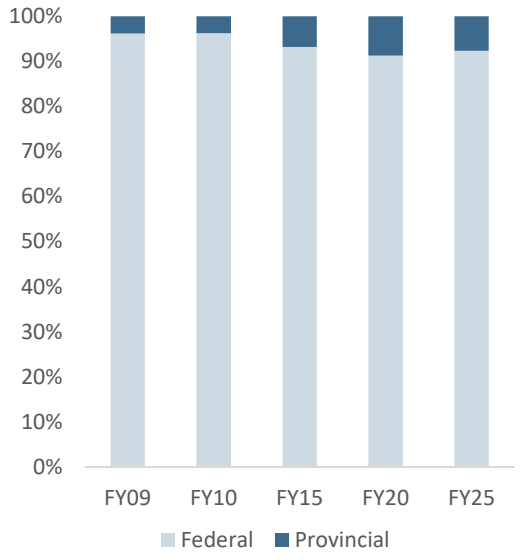
Figure 9:
Average Tax Revenue 2010–25 (% GDP)



Source: Ministry of Finance for Pakistan, IMF World Revenue Longitudinal Database for other countries (data available up to year 2022).

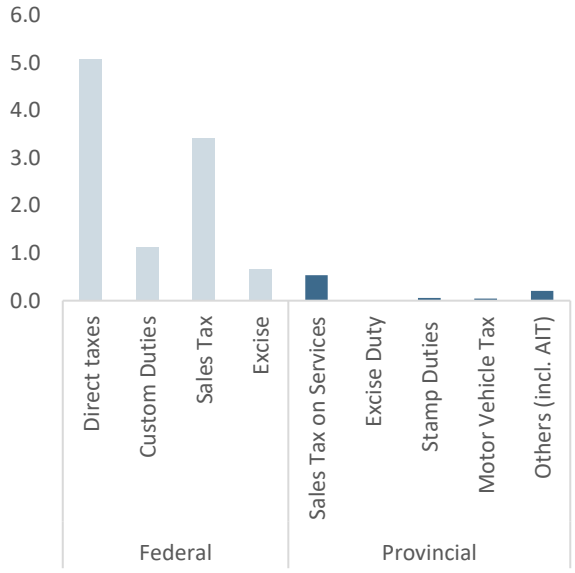
The majority of the tax revenue is still collected at the federal level, while GST on services is the primary driver of provincial own-source tax revenue. Roughly 90–92 percent of Pakistan's consolidated tax revenue is collected by the FBR. Of this, the proportion of sales and direct taxes in total federal taxes has remained roughly the same, and both act as the central drivers of federal tax revenue. Despite the devolution of the GST on services, provincial own-source tax revenue has continued to account for only around 10 percent of the total consolidated tax revenue, hovering around 1 percent of GDP. The main contributor to provincial revenue is sales tax on services, with agriculture income and property taxes still generating minimal revenue (Figures 9 and 10).

Figure 10:
Provincial and Federal Tax Revenue (% Total Revenue)



Source: Ministry of Finance.

Figure 11:
Average Tax Revenue 2010–22 (% GDP)



Source: Ministry of Finance.

Critically, the GST on goods and services is now governed by a complex legislative framework that generates high compliance costs for businesses, discourages interprovincial trade, and undermines revenue collection. The GST regime has split Pakistan into five competing tax jurisdictions with different rates, tax bases, and policy and administrative structures. This has resulted in double taxation, high compliance costs for businesses, and a significant tax gap. Key challenges include:

- **Multiple GST on services tax rates undermine tax collection and create economic distortions:** Diverging sales tax rates across the country encourage firms to structure transactions so that economic activity is recorded in the most favorable tax jurisdictions. This type of strategic behavior limits the effectiveness of tax enforcement and leads to economic distortions across provinces.

- **Lack of harmonized classification of goods and services leads to double taxation:** Federal and provincial governments use different classifications of goods and services and "place of supply rules," creating disputes between jurisdictions and posing risks of double taxation.[12]

- **Fragmentation of tax administration imposes high compliance costs:** According to the 2018 World Bank Tax Review,[13] businesses operating across the country were required to file 60 GST

[12] Punjab and KP prepared negative lists based on the Harmonized System (HS) codes created by the World Customs Organization and internationally recognized by most countries. Conversely, Sindh's negative list is based on the United Nations Central Product Classification (CPC) classification system used to standardize the categorization of goods and services for statistical purposes. Finally, Balochistan's negative list does not refer to any formal classification system.
[13] World Bank (2018) *Pakistan Tax System – Tax Policy Review*.

tax returns annually. The administrative burden of tax compliance was reflected in the country's ranking of 173 out of 190 countries on the "Paying Taxes" indicator in the 2019 Ease of Doing Business.[14]

- **Complexity of sales tax refunds discourages interprovincial trade and affects business cash flow:** Divergent classifications of goods and services, varying tax exemptions, and inconsistent rules on input tax credits make the administration of tax refunds for cross-provincial transactions and multi-sector businesses extremely complex and burdensome. These constraints act as non-tariff barriers to interprovincial trade and discourage the emergence of nation-wide value chains.

AIT (a provincial revenue source) has contributed minimally to the country's tax revenue, despite its large share of GDP. The agriculture sector comprises 24 percent of Pakistan's GDP, yet it has remained undertaxed by provincial governments for years. AIT consists of both income and land-based taxes with large exemptions that hamper compliance and weaken revenue collection. In practice, a land area-based valuation approach is used, making AIT a regressive tax. Same sized plots of land with varying productive capacities and incomes receive the same tax treatment, irrespective of the actual financial status of the landowner or cultivator. Additionally, lack of record keeping by small farmers means that information on input cost of crops and other ancillary expenses is inadequate or not available. Lastly, non-existent information and data-sharing protocols between federal and provincial governments also incentivize tax evasion and implies a higher effective tax rate on other income generating sectors.

Property taxes have remained an underutilized tax base despite the relatively low administrative and compliance costs, and the substantial potential to generate revenue. Low and middle-income countries generate 0.3–0.6 percent of GDP from property taxes and higher income countries around 1.2 percent. Pakistan's urban immovable property tax (UIPT) is only about 0.13 percent of GDP. There are multiple taxes and service fees administered on immovable property/real estate in Pakistan, including the UIPT (collected by provincial Excise and Taxation Departments or the local government in case of Sindh), transaction taxes, such as stamp duty, registration and mutation fees, Fard fee (proof of ownership document), the Capital Value Tax (CVT, collected by the provincial Board of Revenue), and the capital gains tax (collected by the FBR). In addition, local government collects local council tax on the transfer of property, while the FBR collects advance taxes from buyers and sellers of immovable property. Of all these sources of public revenue, UIPT, stamp duty, mutation fee, and capital gains tax are major taxes.

A complex property taxation structure – characterized by limited and fragmented land records, valuation methods that vary across provinces and tax types, and substantial exemptions – has contributed to low revenue collection. There is significant fragmentation in how immovable property levies are applied across Pakistan. Provinces adopt varying valuation bases and methods across taxes, leading to inconsistent liabilities. The tax base is narrow due to several exemptions and unrecorded areas, and it is not aligned with actual market values. Lack of coordination between federal and provincial revenue authorities on land valuation approaches has also meant that tax base and property valuation vary across areas and taxes. Additionally, unavailability of digitized and

[14] World Bank (2019) *Doing Business*.

comprehensive land records has reduced the tax base for property taxes. In the absence of a comprehensive national framework, arrangements for property taxes remain complex, contributing to low revenue collection and compliance rates.

Fiscal federalism arrangements and the fragmentation of the tax base have made the administrative structures for tax administration and collection more complex and less efficient. The lack of automatic data exchange and a single data warehouse, inefficient collation of tax intelligence across the country, and weak PFM frameworks at the provincial level further exacerbate the challenges of a fragmented tax structure. This creates opportunities for tax avoidance, tax evasion, and inefficient use of resources in the provinces.

In recent years, Pakistan's federal and provincial governments have made efforts to harmonize tax bases and coordinate tax policy. Noteworthy efforts are underway to harmonize GST legislation through implementation of a single tax rate and similar rules on input tax adjustments and refunds. For administrative ease, a single sales tax return portal has also been established for filing and payment simplification, and it is currently being implemented in the telecom, oil and gas, and microfinance sectors. Moreover, in 2025, all provincial governments amended AIT legislation to align tax rates with the federal legislation on personal income tax for small farmers and corporate income tax for commercial farming. Discussions are also underway on optimal approaches to align AIT implementation strategies across provinces and with the federal government. On property taxes, ongoing dialogue is focused on reconciling valuation methodologies and transitioning toward capital valuation for the urban immovable property tax. While considerable progress is still needed, these are steps in the right direction.

4.3 Misalignment and Spatial Disparities in Provincial Spending

With increased provincial transfers under the 7th NFC Award, a significantly larger resource envelope enabled provincial governments to increase spending. Supported by higher federal transfers, provincial spending rose from an average of 4.3 percent during FY02–09 to 6.3 percent of GDP during FY10–25. Punjab received the largest share of resources but recorded the lowest per capita expenditure, while Balochistan posted the highest real per capita spending, largely reflecting its sparse population and the associated higher cost of service provision (Figure 12 and Figure 13).

Figure 12:
Spending by Province (Real PKR Billion)

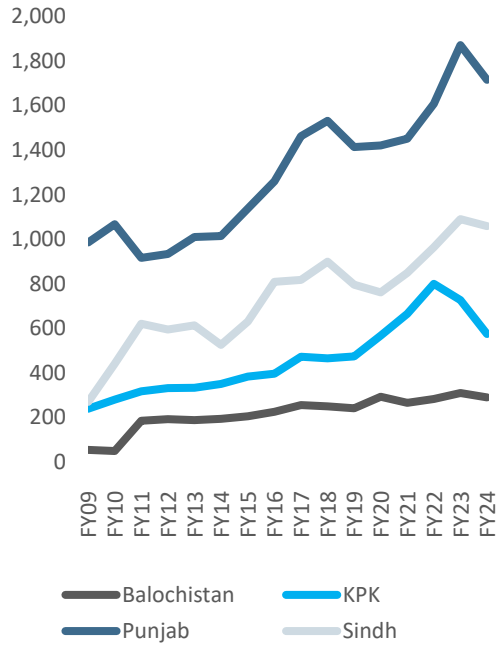
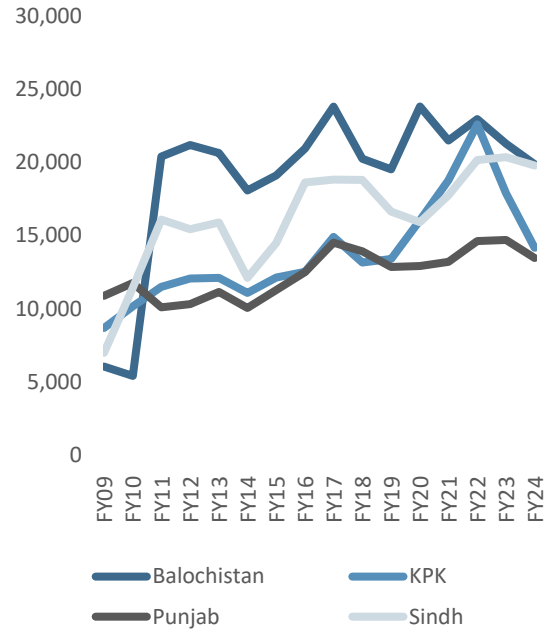


Figure 13:
Spending by Province (Real Per Capita PKR)



Source: World Bank BOOST database and Integrated Financial Management Information System (IFMIS) data.

Provincial spending has remained skewed toward recurrent expenditures (accounting for 75 percent of total provincial spending on average), with sharp increases in expenditures on salaries and pensions. Current expenditures absorbed approximately 82 percent of the incremental resources transferred to provinces over FY09–23 (Figure 14). This growth was driven primarily by increased spending on salaries and pensions as provincial bureaucracies expanded. During FY09–23, real provincial spending on salaries and pensions increased by 250 and 330 percent, respectively (Figure 15). Provincial development spending increased by nearly 60 percent in real terms over FY09–23 but remains limited as share of total expenditures at approximately 20 percent.[15]

The majority of incremental salary spending over FY09–23 was absorbed by the education and health sectors, suggesting an expansion in service delivery staffing (Figure 16). Additional salary expenditure on education and health accounted for 36 and 18 percent of the incremental wage bill during this period, respectively. Beyond these sectors, "Public Order and Safety" accounted for a further 27 percent of additional wage expenditure.

[15] As a share of total provincial spending, development expenditure increased from 19 percent in FY09 to 31 percent in FY17. Nevertheless, the weight decreased thereafter to 23 percent by FY23.

Figure 14:
Real Provincial Spending, Recurrent vs. Development (PKR billion)

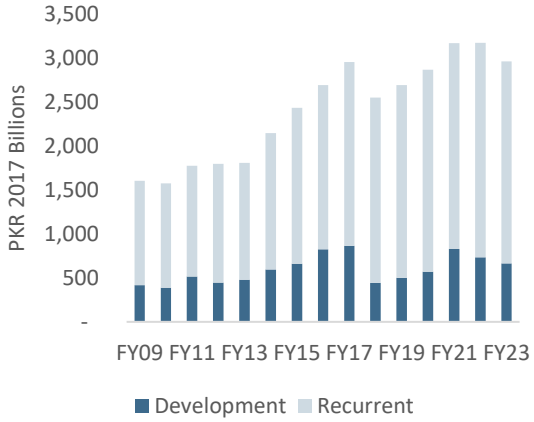
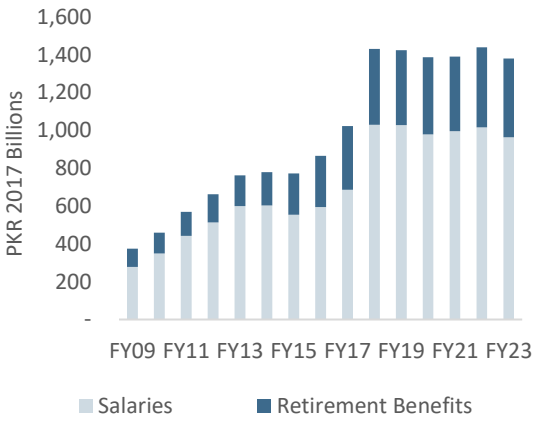
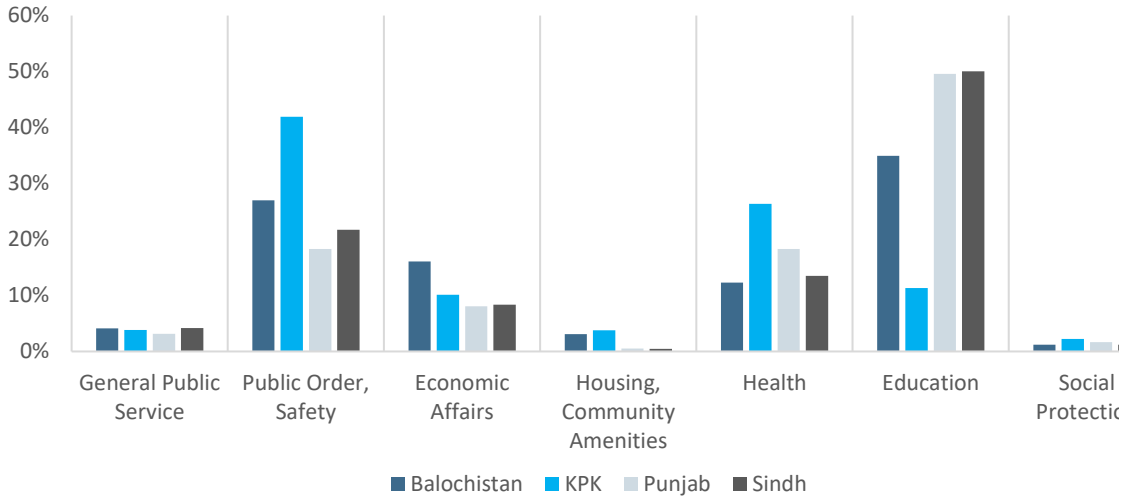


Figure 15:
Real Provincial Spending on Employee Salaries and Pensions



Source: World Bank BOOST database and IFMIS data.

Figure 16:
Distribution of Incremental Wage Bill Spending by Function, FY09–23 (% Budget Increase)



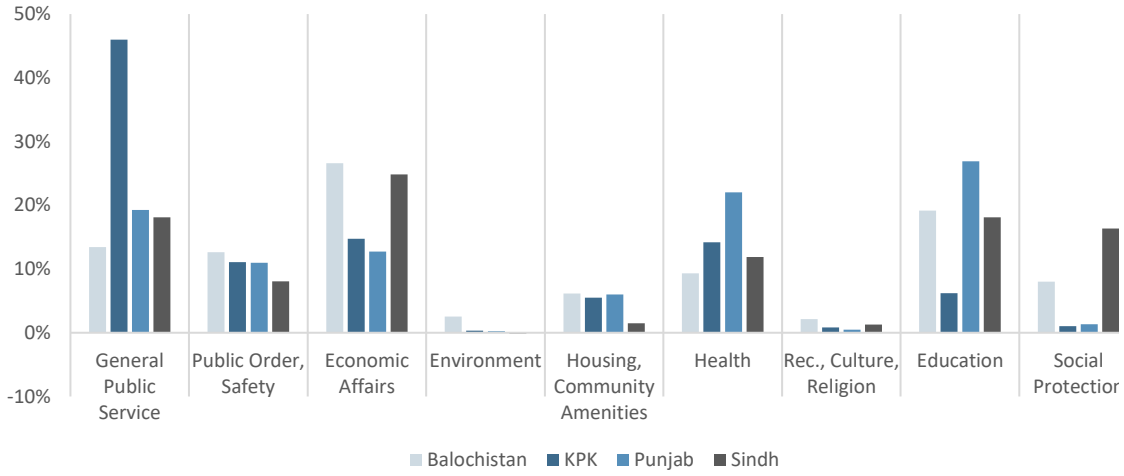
Source: World Bank BOOST database and IFMIS data.

From a functional perspective, "General Public Services" absorbed the largest share of incremental provincial spending following the 7th NFC Award, driven primarily by the rapid growth in pension costs. Across the four provinces, incremental expenditure on "General Public Services" accounted for an average of 24 percent of the nominal budget increase observed over FY09–23, of which between 63 percent (KP) and 100 percent (Balochistan) corresponded to additional spending on retirement benefits.[16] "Economic Affairs" absorbed the second-largest share, accounting for an average of 20 percent of additional spending over the same period. Despite their prominence in provincial expenditure assignments, incremental spending on education and health

[16] Spending on retirement benefits is classified under "General Public Service" irrespective of the sector to which the retired civil servants were previously attached.

lagged behind these two functions, accounting for 18 and 14 percent of the additional budget on average, respectively (Figure 17).

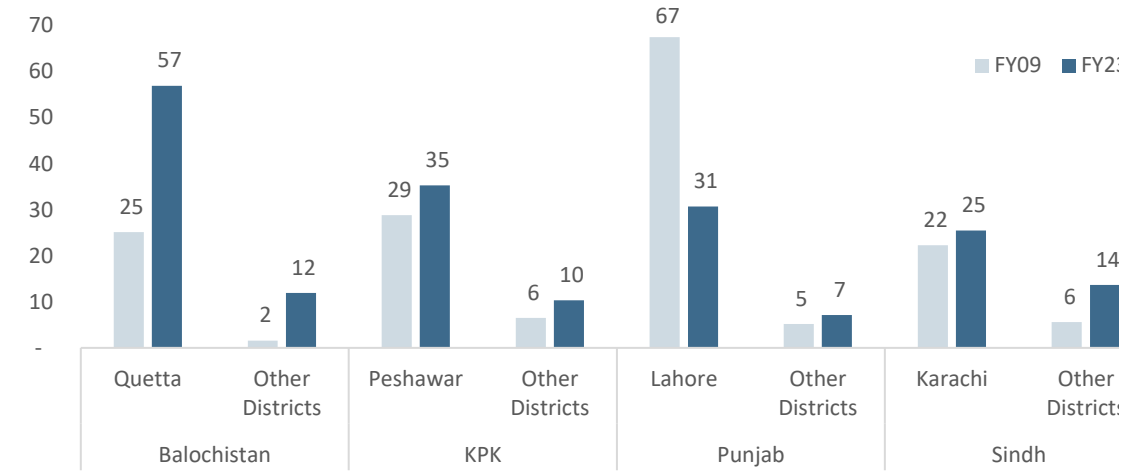
Figure 17:
Distribution of Incremental Spending by Function, FY09–23 (% Budget Increase)



Source: World Bank BOOST database and IFMIS data.

Spending at the local level remains inequitably geospatially distributed. Despite a narrowing gap in real per capita spending between provincial capitals and other districts since FY09, capitals continue to absorb a disproportionate share of resources (Figure 18).[17] The disparity is most pronounced in Balochistan, where Quetta captures more than five times the per capita spending of other districts. In Punjab, real per capita spending in Lahore remains approximately four times higher than in other districts, compared to about 10 times in FY09. Sindh and KP show relatively smaller differentials, at around two and three times, respectively.

Figure 18:
Real Per Capita Expenditure – Provincial Capitals vs Other Districts FY09–23 (2016 PKR)

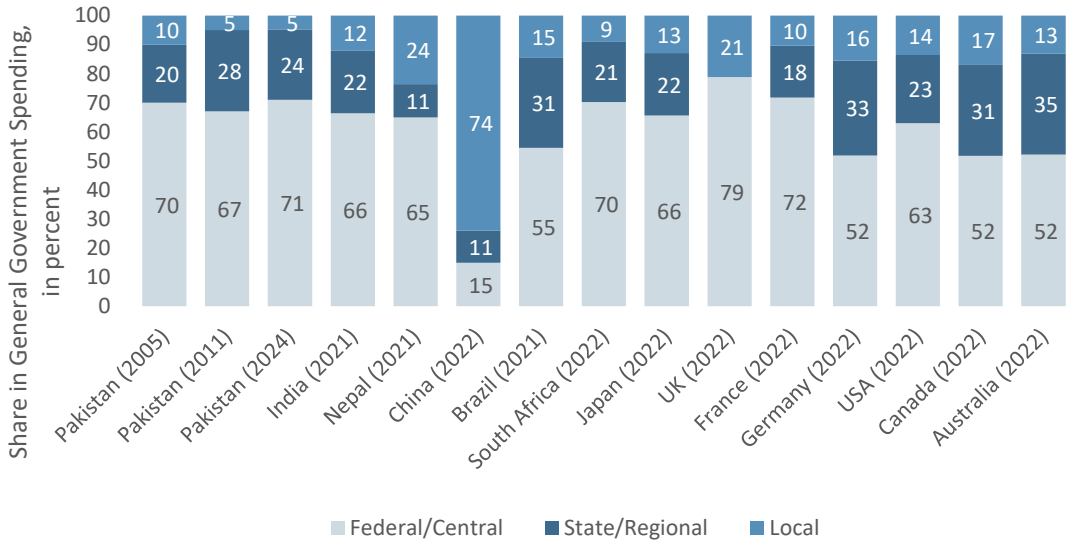


Source: World Bank BOOST database and IFMIS data.

[17] Expenditure attributed to provincial capitals incorporates costs of provincial government departments.

Spending at the local level remained very low. Despite constitutional provisions pertaining to the role of local government, few of the additional resources allocated to provinces were made available to local governments. The ongoing decline in the share of total government spending by local governments continued after the 18th Constitutional Amendment, from around 10 percent in 2005 to around 4.7 percent in 2024. Pakistan remains an outlier in terms of the proportion of government spending conducted through local government (Figure 19).

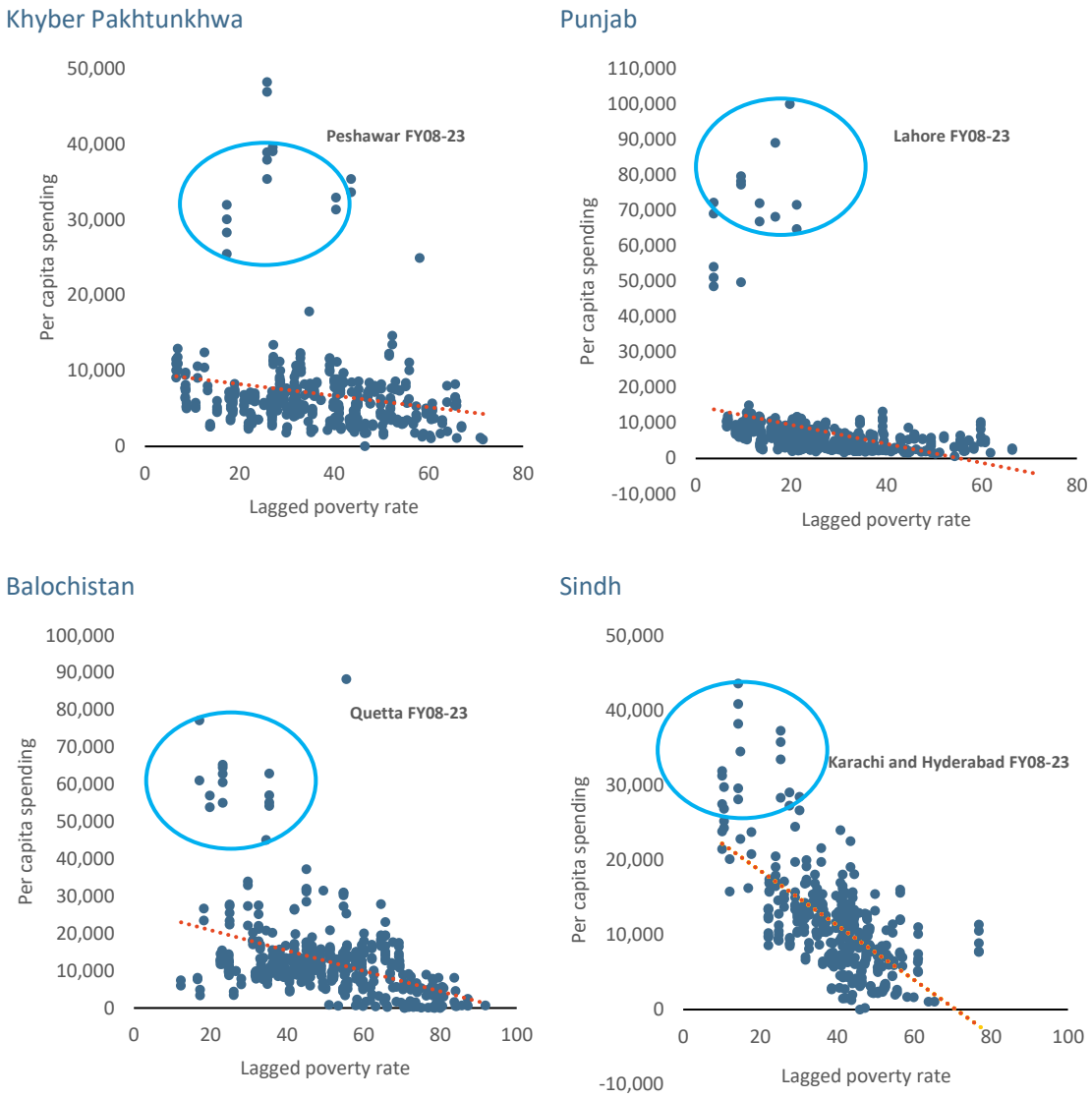
Figure 19:
Federal, Regional, and Local Spending (Share in General Government Spending), International Comparison



Source: World Bank staff compilation using IMF Government Finance Statistics Database, OECD Fiscal Decentralization Data base, and China MoF for China statistics.

District-level allocations continue to diverge from socioeconomic needs. First, there is an apparent inverse relationship between lagged poverty levels and current district-level per capita spending allocations (Figure 20). Wealthier districts consistently receive larger budgets, perpetuating a cycle of low-budget traps in poorer areas. This pattern is evident across all provinces and is particularly pronounced in the capital districts. Similarly, district-level allocations do not appear to be guided by any metric of socioeconomic needs, such as infrastructure, healthcare, or education. The absence of a clear connection between spending and socioeconomic needs may be undermining the quality and efficiency of provincial spending on key social services (see Box 8). This in turn may be contributing to the slow progress in human development indicators observed since at least FY09.

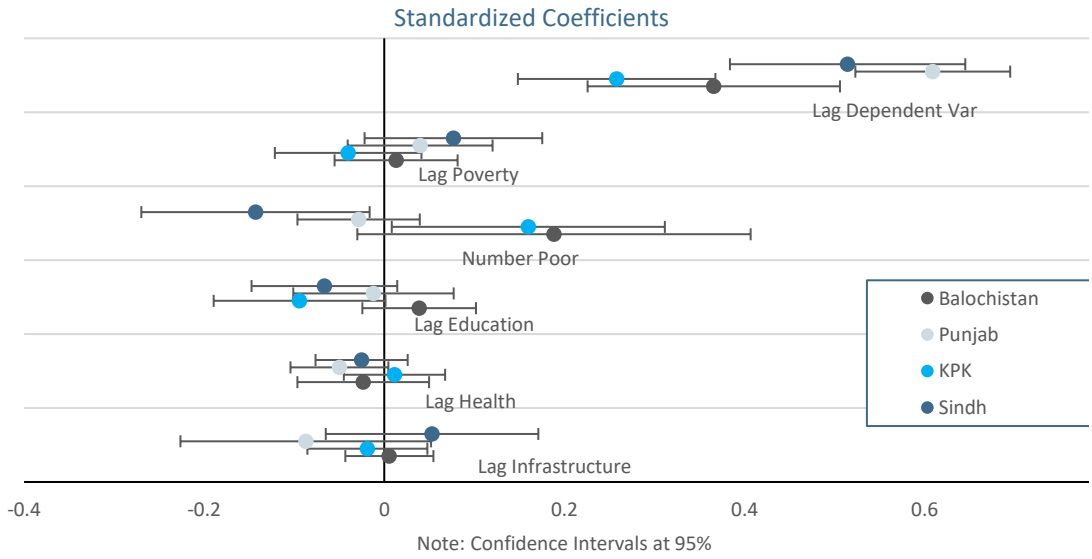
Figure 20:
Relationship Between Spending and Poverty Rate by District and Province



Source: World Bank staff compilation using IFMIS data.

Budget allocations are rigid. Provincial budgets and, consequently, actual spending flows (in both nominal and real per capita terms) are determined by historical spending patterns. Figure 21 and Figure 22 show a strong correlation between current real per capita budgets and spending and the previous year's levels, indicating incremental budgeting. Historical precedent dominates fiscal decision-making, rather than current levels of need or deprivation.

Figure 21:
Regression of Log Per Capita Real Budget, Per Province

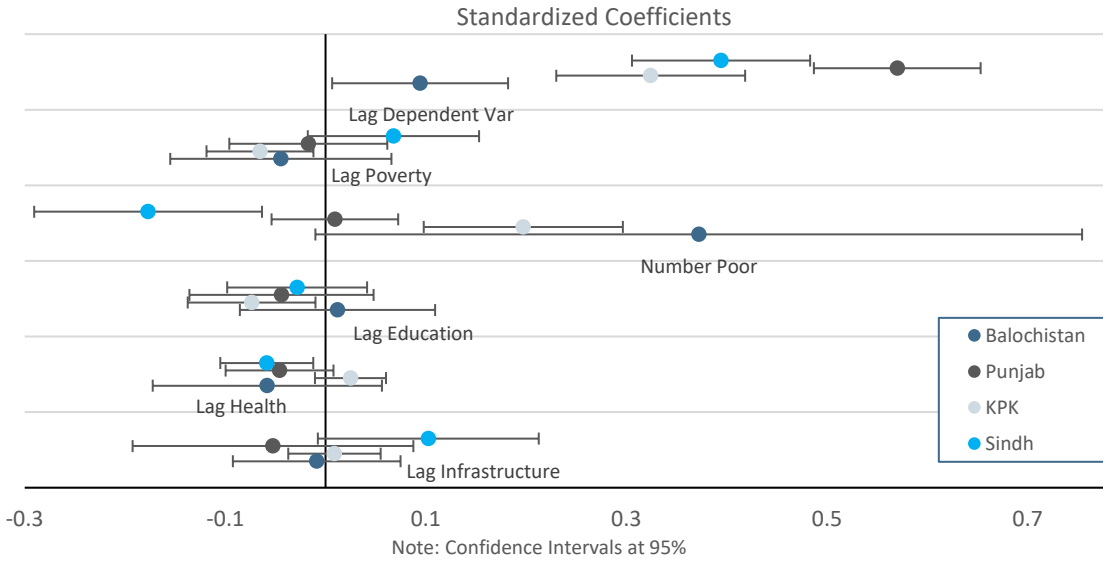


Source: World Bank BOOST database and IFMIS data.

Note: The regression analysis is run for each province, and follows the below General Method of Moments (GMM) estimation method, with Y being the real per capita budget or spending in district i, controlling for population and its square, as well as time fixed effect

$$\boldsymbol{ln(Y)}_{i,t} = \boldsymbol{\beta_0} + \boldsymbol{\beta_1}.\boldsymbol{ln(Y)}_{i,t-1,} + \boldsymbol{\beta_2}\,\boldsymbol{Population}_{\{i,t-1\}} + \boldsymbol{\beta_3}\,(\boldsymbol{Pop})\text{^}\boldsymbol{2}_{\,i,t} + \boldsymbol{\beta_4}\,\boldsymbol{Poverty}_{i,t-1} + \boldsymbol{\beta_5}\,\boldsymbol{Pop}_{\{i,t-1\}} * \boldsymbol{Pov}_{\{i,t-1\}} + \boldsymbol{\beta_6}\boldsymbol{Educ}_{i,t-1} + \boldsymbol{\beta_7}.\boldsymbol{Health}_{i,t-1} + \boldsymbol{\beta_8}.\boldsymbol{Infra}_{i,t-1} + \boldsymbol{\delta_t} + \boldsymbol{\epsilon_{i,t}}.$$

Figure 22:
Regression of Log Per Capita Actual Spending, Per Province



Source: World Bank BOOST database and IFMIS data.

Note: The regression analysis is run for each province, and follows the below GMM estimation method, with Y being the real per capita budget or spending in district i, controlling for population and its square, as well as time fixed effect 〖ln(Y)〗_(i,t)= 〖β_0+ β〗_1.ln(Y)_(i,t-1,)+ β_2 Population_{i,t-1} +β_3 〖(Po〖p)^2〗_(i,t)+β_4 Poverty〗_(i,t-1)+β_5 〖Pop〗_{i,t-1} * 〖Pov〗_{i,t-1} +β_6 Educ_(i,t-1)+ β_7.Health_(i,t-1)+ β_8. 〖Infra〗_(i,t-1) 〖+ δ〗_t+ ϵ_(i,t).

Box 8: Interprovincial Disparities in Social Service Delivery Spending, Outputs, and Outcomes

Social service access and outcomes vary significantly across the country. Divergence reflects the allocation, quality, and efficiency of provincial spending as well as factors such as income, population density, and the prevalence of private sector provision. According to the 2024–25 HIES, Punjab recorded the strongest education and health indicators despite spending considerably less on education than Sindh and Balochistan in real per capita terms and broadly comparable amounts on health to the other provinces (Figures B8.1–B8.4). In FY23, real per capita provincial spending on education in KP was less than one-third of the level observed in Balochistan. However, KP's net enrollment and adult literacy rates, as reported by the 2024–25 HIES, were 23 and 9 percentage points higher, respectively. These gaps reflect a range of factors, including the quality of public services, interprovincial income differences or the scale and quality of private sector provision. According to the 2025 Annual Status of Education Report, 30 to 40 percent of children aged 6 to 16 years old were enrolled in private schools in Punjab, compared to 20 to 30 percent in Sindh and KP and less than 10 percent in Balochistan.[a]

Notwithstanding, trends in education and health outcomes over FY09–25 suggest there is room to improve the quality and efficiency of provincial spending in these sectors. During FY09–23, real per capita provincial spending on education increased between 200 and 650 percent in Punjab, Sindh, and Balochistan. However, according to the 2008–09 Pakistan Social and Living Standards Measurement Survey (PSLM) and 2024–25 HIES, net school enrollment fell by 4 and 11 percent in Sindh and Balochistan, respectively, while adult literacy declined by 1 percent in Sindh. By contrast, KP achieved gains of 2 and 9 percentage points in net enrollment and adult literacy during FY09–25, respectively, with virtually no increase in real per capita spending. In health, real per capita provincial spending rose between 200 (Punjab) and 440 percent (Balochistan) during FY09–23. However, the share of population living within 15 minutes of a health facility decreased between 3 and 18 percent during FY09–20. Furthermore, during FY09–25 the share of fully immunized children (aged 12–23 months) only increased by 5 to 6 percent in KP and Sindh and actually fell by 3 percent in Punjab.[b] Balochistan registered faster progress in immunization (+12 percent during FY09–25) but from a much lower base, remaining 23 percentage points below the national average.

The slow progress in human development indicators since FY09 is also linked to Pakistan's comparatively low levels of public investment in essential services by international standards. During FY10–25, total public spending (federal and provincial) on education and health has averaged 1.8 and 0.8 percent of GDP, respectively, compared to the lower-middle income country average of 4.2 percent for education and 5 percent for health. This gap with peer countries is a core reason why over 25 million school-age children are out of school, 40 percent of children under five are stunted, and about 78 percent of children are unable to read and understand a short, age-appropriate text by the age of 10.[c] Addressing these shortfalls will require both an increase in the overall fiscal resources available for service delivery – itself dependent on improved revenue mobilization – and improvements in the quality and efficiency of provincial spending on core services.

a ASER Pakistan (2026) *Annual Status of Education Report 2005*

b Pakistan Bureau of Statistics (2010) *Pakistan Social and Living Standards Measurement Survey 2008–09*; Pakistan Bureau of Statistics (2021) *Pakistan Social and Living Standards Measurement Survey (PSLM) 2019–20*; Pakistan Bureau of Statistics (2026) *Household Integrated Economic Survey 2024–25*.

c Pakistan Bureau of Statistics (2026) *Household Integrated Economic Survey 2024–25*; NIPS and ICF (2019) *Pakistan Demographic and Health Survey 2017–18*; World Bank (2025) *Reclaiming Momentum towards Prosperity.*

Figure B8.1:
Education Real Per Capita Provincial Expenditure (PKR)

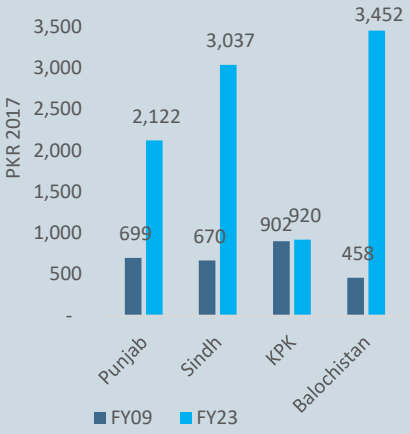


Figure B8.2:
Education Access (net enrollment rate, 5–9 years) & Outcomes (adult literacy, >15 Years) (percent)

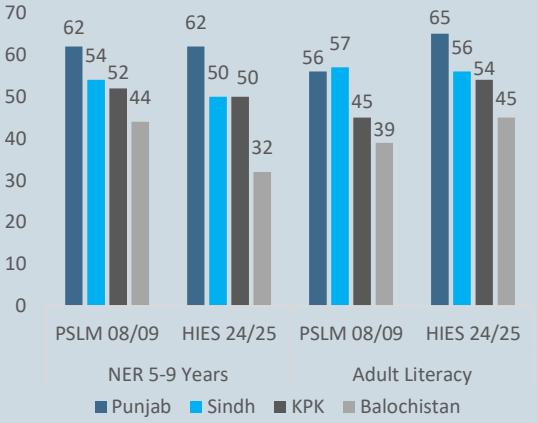
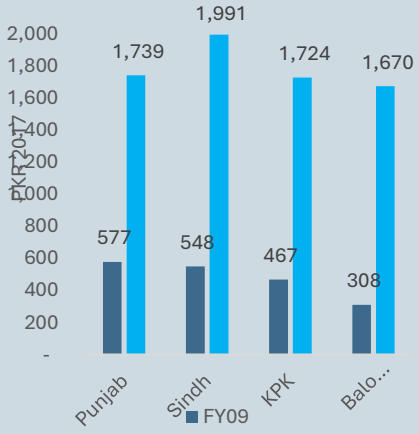
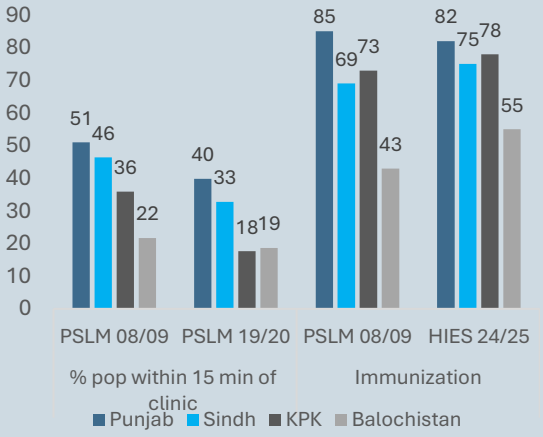


Figure B8.3:
Health Real Per Capita Provincial Expenditure (PKR)



Source (Figures B8.1 and B8.3): World Bank BOOST database and IFMIS data.

Figure B8.4:
Health Access (population living within 15 minutes of health facility) & Outcomes (fully immunized children, 12–23 months) (percent)



Source (Figures B8.2 and B8.4): PSLM 2008–09 and HIES 2024–25, Pakistan Bureau of Statistics.
Note: NER=Net Enrollment Rate.

4.4 Institutional Implementation Lags

While provisions included in the 18th Constitutional Amendment are relatively robust, the operationalization of revised fiscal federalism institutions has lagged. Performance has been weakened by overlapping mandates, weak implementation authority, and irregular meetings. For instance, the CCI held only 11 meetings between 1973 and 2010, and only once a year between 2022 and 2025 despite being legally mandated to meet at least once every quarter; a new NFC Award has been delayed by one and a half decade; local governments remain weak and underrepresented especially in the PFCs. Coordination weaknesses persist in areas such as tax harmonization, regulation of services, and internal trade. Provinces exercise authority over sales tax on services and other levies in ways that fragment the internal common market, while constitutional safeguards for free interprovincial trade have not been effectively enforced.

4.5 Conclusions

The outcomes of Pakistan's post-2010 fiscal federalism arrangements have been mixed. While the 7th NFC Award and 18th Constitutional Amendment successfully increased provincial resource availability and formally expanded provincial mandates, outcomes have fallen short of reform objectives across all four dimensions examined.

- **A Structural Federal Fiscal Deficit.** The misalignment between financing and function across federal and provincial levels has been a material contributor to Pakistan's average fiscal deficit of 6.2 percent of GDP between FY10 and FY25, and to the accumulation of public debt. Provincial revenues, including federal transfers, rose from less than 4 percent of GDP to an average of 6.5 percent over FY10 to FY24. However, federal expenditures did not adjust commensurately due to continued spending on devolved areas (e.g., social protection), a growing federal civil service, an increasing interest bill, successive economy-wide shocks (e.g., COVID-19, 2022 floods), and a growing stock of contingent liabilities. The loss in federal revenues from transfers (1.9 percent of GDP) was roughly equivalent to the increase in federal primary deficits post-devolution (1.7 percent of GDP).

- **Revenue Constraints.** Federal and provincial revenue performance has remained well below potential. Despite the expanded provincial revenue assignments, own-source tax revenue has barely moved, financing less than 10 percent of provincial expenditure in KP and Balochistan and no more than 20 percent in Punjab and Sindh. AIT, despite the sector comprising 24 percent of GDP, remains largely uncollected. UIPT generates only 0.13 percent of GDP, far below comparator country norms of 0.3 to 0.6 percent. Fragmentation of the tax base between the federal and provincial governments has raised compliance costs and created opportunities for avoidance, contributing to the weak revenue performance observed since FY10.

- **Expenditure Misalignment.** Devolution is theoretically expected to reduce accountability loops and better align spending with public needs. While provinces have increased spending on basic services since the 18th Constitutional Amendment, the largest single increase has been in administrative expenses. Around 80 percent of consolidated provincial expenditure in FY24 was

recurrent with the largest share of additional incremental spending since 2009 absorbed by general public services and administrative costs rather than education or health. Spending has also remained geospatially inequitable, with provincial capitals capturing a disproportionate share of resources relative to their populations and needs, and district allocations driven by historical precedent rather than poverty levels or service delivery gaps. Local governments have seen their share of total government spending fall from around 10 percent in 2005 to approximately 4.7 percent in 2024.

- **Institutional Implementation Lags.** Finally, the institutional framework underpinning fiscal federalism has underperformed. The CCI held only 11 meetings between 1973 and 2010 despite a constitutional requirement for quarterly meetings. A successor NFC Award has now been delayed for over a decade and a half. Taken together, these outcomes point to a system in which the formal architecture of fiscal federalism has not been matched by institutional follow-through or incentive alignment at any level of government.

05 Subnational Public Finance Institutions and Service Delivery

Drawing on new subnational public finance assessments, this section provides an analysis of linkages between fiscal federalism arrangements, PFM systems, and PFM service delivery constraints at the subnational level. The section: (i) assesses common strengths and weaknesses in provincial PFM systems; (ii) identifies service delivery impacts of PFM weaknesses; and (iii) discusses relationships between fiscal federalism arrangements and PFM weaknesses impacting service delivery.

5.1 Strengths and Weaknesses of Public Finance Systems

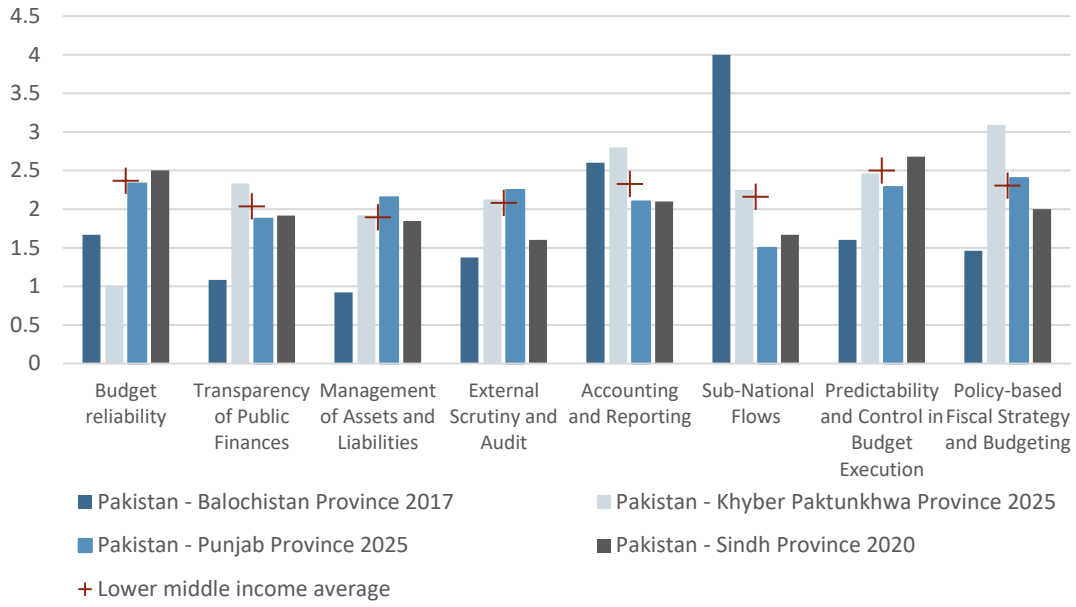
The 18th Constitutional Amendment allocated responsibility for the delivery of basic health, education, and sanitation services to provinces. The ability of provinces to deliver services is critically dependent on the adequacy of supporting PFM systems. All four of Pakistan's major provinces have recently undertaken assessment of their PFM systems using the internationally recognized subnational Public Expenditure and Financial Accountability (PEFA) assessment framework. These assessments show:

- Comparable performance to global norms, with all provinces except Balochistan scoring close to the average for lower-middle income countries across most assessed PFM pillars (broad areas of performance).

- High variability across dimensions (narrower technical functions), with all provinces achieving a combination of low and high scores, signifying alignment with international good practice in some PFM areas, and substantial weakness in others.

- Important commonalities across provinces in terms of areas where scores are particularly strong or weak, both in absolute terms and relative to international averages, suggesting important structural drivers of performance across provinces in some areas.

Figure 23:
Overall PFM Performance



Source: PEFAs.

5.1.1 Areas of Strong Performance

All or almost all provinces tend to score particularly well against the following PFM functions, as assessed within the PEFA framework:

- **Budget classification.** Budgets are classified using administrative, economic, and functional classifications broadly consistent with international standards. Provinces can produce budgets and reports that identify spending by department and major function.

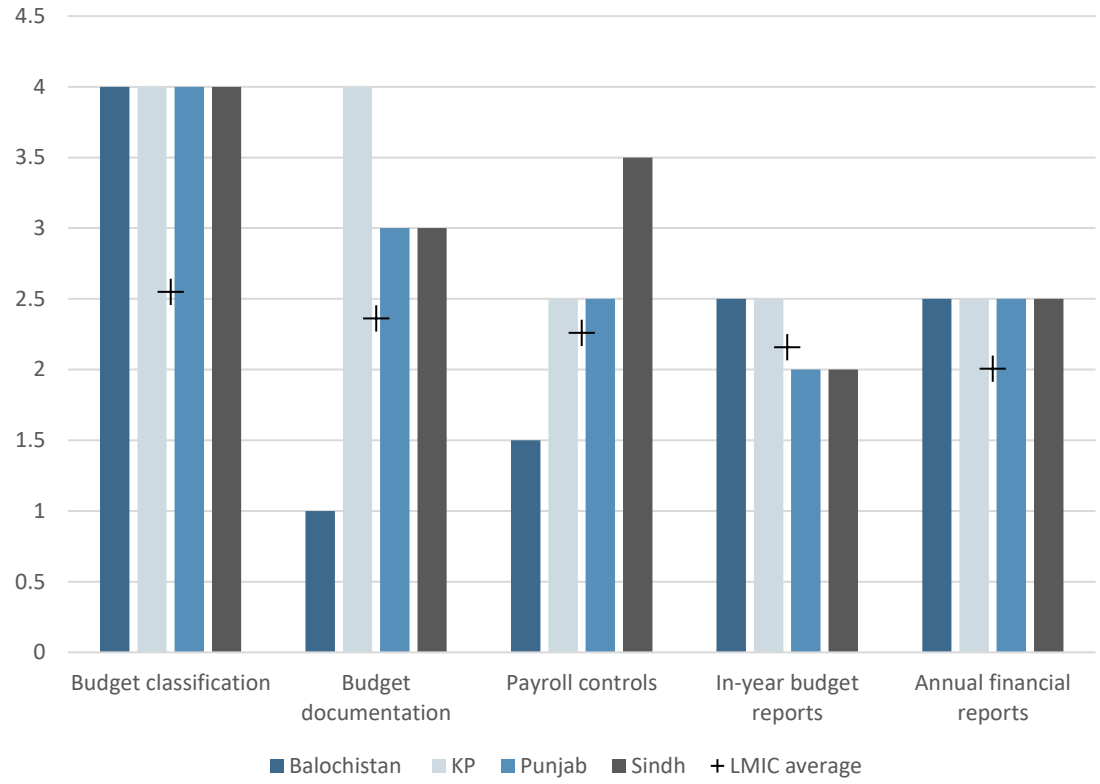
- **Comprehensiveness of budget documentation.** Provincial budget documents generally include revenue and expenditure aggregates, fiscal balances, and debt information.

- **Payroll controls and integrity.** Payroll systems are generally centralized, linked to approved establishment controls, and subject to periodic reconciliation.

- **In-year budget reporting.** Provinces produce in-year budget execution reports with reasonable coverage and timeliness. Central finance departments can monitor aggregate execution reasonably well.

- **Accounting standards and timeliness of annual financial statements.** Annual financial statements are prepared using consistent accounting standards. Statements are produced within acceptable timelines.

Figure 24:
Areas of Stronger PFM Performance



Source: PEFAs.
Note: LMIC=lower-middle income country

5.1.2 Areas of Weak Performance

All or almost all provinces tend to score most poorly against the following functions:

- **Management of transfers from higher level of government.** Provinces do not receive reliable multi-year projections of transfers. In-year transfer outturns differ materially from approved budgets. In some cases, timing and composition of transfers are revised during execution. Provinces' heavy reliance on federal government transfers exacerbates risks from disruption to federal transfers.

- **Revenue outturn.** Revenues vary significantly from budgets both at the aggregate level and between revenue sources. Approved budgets do not reliably signal intent.

- **Performance information for service delivery.** While some provinces have implemented various forms of "performance budgeting" on paper, there is little evidence that performance information is used in budget formulation, used to guide reallocations, or linked to other accountability mechanisms.

- **Predictability of in-year resource allocation.** Budget execution is often disorderly, with cash releases subject to quarterly ceilings, ad hoc cash rationing, and delayed warrants.

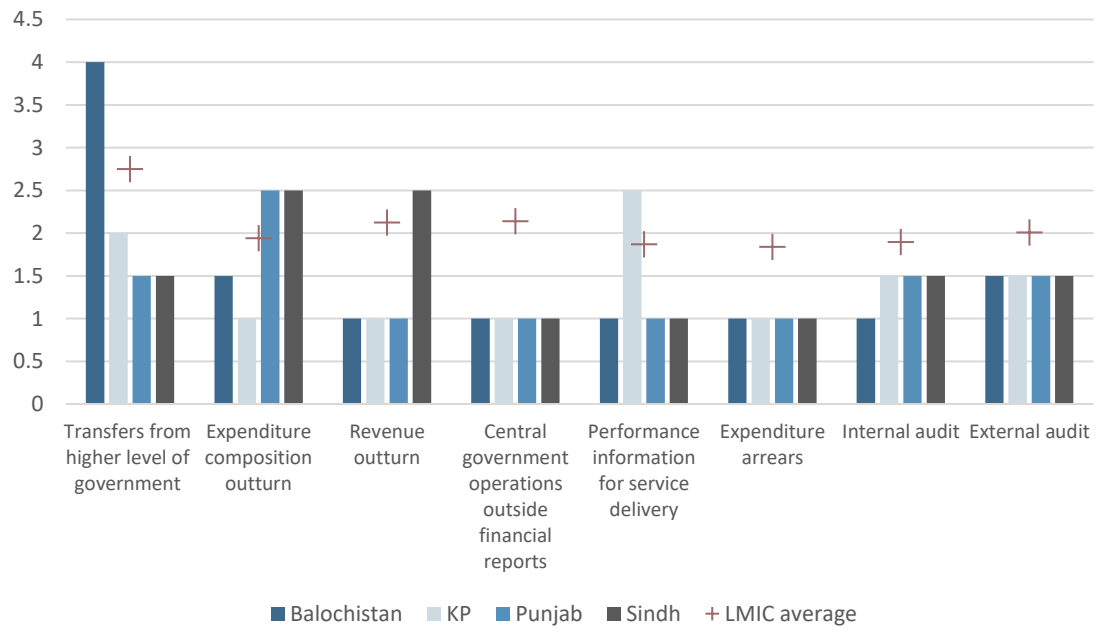
- **Expenditure arrears and commitment controls.** Weak commitment controls and incomplete arrears monitoring. Cash constraints are not transparently reflected in commitments.

- **Internal audit effectiveness.** Internal audit units exist but have limited coverage, focus on compliance rather than risk, and have weak follow-up.

- **External audit scrutiny and follow-up.** Audit reports are produced, but legislative scrutiny is delayed and follow-up on findings is weak or non-existent.

Critically, PEFA assessments assign relatively good scores against dimensions relating to transfers from provincial to local governments, but as discussed in Section 4, PEFA assessments note that these high scores do not accurately reflect de facto practices.

Figure 25:
Areas of Weaker PFM Performance



Source: PEFAs.

5.2 Public Financial Management Impacting Service Delivery

Weaknesses in provincial PFM systems can be traced to PFM-related constraints to service delivery, including in health and education. These weaknesses are documented in recent Service Delivery Module assessments carried out in Punjab and KP in 2025.

5.2.1 *Disorderly Resource Allocation*

Provincial PEFA assessments note weak predictability of transfers and in-year resource allocation, reliance on quarterly or partial releases and centralized cash management, and limited advance communication of ceilings to lower levels. When funding flows are unpredictable, service delivery units cannot plan procurement, maintenance, or staffing effectively. This leads to reactive management, interruptions in service provision, and an erosion of accountability for results, even where budgets have been formally approved.

In **Punjab's** education sector, for example, schools and district offices face moderate to low predictability of in-year resources due to centralized cash management and the absence of formal commitment ceilings. In-year budget adjustments and delayed approvals for virements (often taking several weeks) undermine planning for utilities, repairs, and learning materials. In Punjab's health sector, while payroll expenditures are generally protected, non-salary resources are significantly less predictable, limiting facilities' ability to plan maintenance, procurement, and service expansion.

In **KP's** education sector, delays to PFC transfers and quarterly non-salary releases are binding constraints on district- and tehsil-level planning. These delays affect stipends, facility maintenance, and other operational inputs essential for routine service delivery. In KP's health sector, late and uneven releases of non-salary budgets directly affect the procurement of medicines and consumables. Inconsistent financing drives operational stress at primary healthcare facilities.

5.2.2 *Weak Performance-basis in Budgeting*

Provincial PEFAs consistently note weaknesses in performance budgeting. Performance information exists in most provinces but is weakly used in budgeting and execution (Figures 20, 21, and 22). There are limited linkages between financial data and outputs or outcomes. When financial systems are not linked to performance information, resources are allocated and executed without reference to service delivery outcomes. This weakens incentives for improvement and limits the system's ability to respond to poor performance or emerging needs.

In **Punjab's** education sector, financial reporting is not systematically linked to outputs or outcomes. Current systems do not adequately support results-based management.

In **KP's** education sector, performance-based budgeting is not applied at the district level. Aggregated budget coding prevents school-level expenditure tracking and weakens monitoring of special purpose funds, reducing the usefulness of performance data for managerial decision-making. In KP's health sector, while service performance data systems exist, they are not linked to budgeting or in-year adjustment decisions. Financial reporting excludes commitments, further limiting the usefulness of available data for managing service inputs and outcomes.

5.2.3 *Off-budget Operations and Fragmented Fiscal Flows*

Provincial PEFAs consistently note incomplete coverage of public finances, extra-budgetary funds and autonomous entities operating outside of the IFMIS, and weak consolidation of sector resource envelopes. When significant portions of sector financing flow outside core government financial systems, decision-makers and managers lose visibility over total available resources. This weakens accountability, complicates planning, and increases the risk that resources are misallocated or underutilized.

In **Punjab's** education sector, Education Council funds held in commercial accounts are not disclosed in consolidated public reports on sector financing, limiting transparency and oversight of the full education resource envelope. In Punjab's health sector, Health Council funds are transferred into commercial bank accounts and are no longer integrated with SAP once transferred. This reduces visibility over the total health sector resource envelope and weakens system-wide accountability.

In **KP**'s education sector, autonomous entities such as Boards of Intermediate and Secondary Education and education foundations operate outside the Government Financial Management System and show low compliance with the Integrated Information Portal. In addition, Parent–Teacher Council funds lack distinct budget codes and cannot be traced within the financial management system. In KP's health sector, grants are recorded at the time of release rather than at utilization. Modified cash-based reporting omits commitments and off-budget flows, inflating apparent utilization rates and masking real resource constraints faced by facilities.

5.2.4 *Arrears and Weak Commitment Controls*

Provincial PEFAs consistently note weak commitment controls, incomplete recording and monitoring of arrears, and use of arrears as an informal adjustment mechanism. When commitments and arrears are not managed transparently, service delivery units face payment delays, disrupted supplier relationships, and interruptions to essential services such as utilities, maintenance, and supplies.

In **Punjab's** education sector, arrears related to utilities, outsourced services, supplies, and maintenance are tracked manually at the facility level, with no centralized arrears register. Prior year arrears cannot be included in new budget demands, forcing schools to absorb costs within current operational budgets or to seek supplemental funding that is not guaranteed.

In **KP's** health sector, commitments are excluded from in-year financial reports and expenditures are recorded only at the payment stage. This practice limits the ability to make timely mid-year adjustments and disrupts procurement planning, particularly for medicines and consumables.

5.2.5 *Weak Internal and External Audit and Accountability*

Provincial PEFA assessments consistently note that internal audit is excessively focused on compliance with limited coverage. PEFAs also note that external audit and legislative scrutiny are

frequently delayed, with weak or non-existent follow-up. When audit and oversight mechanisms are delayed, compliance-focused, or weakly enforced, service delivery shortcomings are allowed to persist without corrective action. This reduces learning, weakens accountability, and undermines public trust.

In **Punjab's** health sector, Public Accounts Committee scrutiny typically occurs two to three years after the audit period. Hearings focus mainly on financial compliance issues (procurement irregularities and unauthorized appointments) with limited attention to service delivery outcomes. Follow-up on Public Accounts Committee decisions is weak, and proceedings are not consistently disclosed. In Punjab's education sector, while the Auditor General audits secretariats and district education authorities, frontline service delivery units are audited selectively through sampling. Expenditures managed through autonomous bodies and council-held commercial accounts may fall outside routine audit coverage. Audit findings emphasize compliance issues and rarely examine service quality or outcomes.

In **KP's** health sector, while audit mechanisms formally exist, their relevance for improving service delivery is limited by timing, scope, and follow-up. Audit findings are typically raised well after the period under review, reducing their usefulness for correcting ongoing operational problems such as stock management, facility maintenance, or procurement delays. Audit observations tend to focus on procedural and compliance issues, rather than on whether resources were used efficiently to deliver health services or address service delivery gaps. In addition, commitments and liabilities are not fully captured in routine financial reports, which constrains the effectiveness of both internal and external audit. As a result, auditors lack a complete picture of the financial pressures faced by service delivery units, limiting their ability to identify systemic risks such as recurring payment delays to suppliers that directly affect service continuity. Audit findings are weakly linked to managerial follow-up at the facility and district levels. This weak feedback loop allows similar issues to recur across audit cycles, contributing to persistent inefficiencies and service delivery disruptions without timely corrective action.

5.3 Underlying Drivers of PFM Constraints

The PFM constraints documented above are not isolated technical weaknesses. Rather, they reflect a set of deeper structural drivers within Pakistan's fiscal federalism system. These drivers help explain why similar weaknesses appear across provinces and sectors, and why reforms aimed solely at improving technical compliance have yielded limited impact on service delivery outcomes.

5.3.1 Aggregate volatility pushed down the PFM chain

Provinces operate within a context of significant aggregate uncertainty. Federal development transfers fluctuate, revenue performance varies from budgeted projections, and multi-year predictability of federal transfers remains limited. Provinces generally succeed in maintaining aggregate fiscal control. However, this control is achieved primarily through in-year adjustment mechanisms rather than through stable, forward-looking planning.

The burden of adjustment is therefore pushed downward through the PFM chain. While aggregate expenditure ceilings may be maintained at the provincial level, lower tiers (including sector departments, districts, and service delivery units) experience volatility in the form of delayed releases, compressed non-salary budgets, and limited advance communication of ceilings. As a result, schools, health facilities, and district administrations operate in an environment characterized by interrupted cash flows and the absence of credible medium-term expenditure frameworks. This dynamic helps explain the persistent disconnect between approved budgets and actual service delivery capacity.

5.3.2 Absence of Institutionalized Performance Incentives

Pakistan's intergovernmental fiscal system does not systematically link resource allocation to service delivery performance. National fiscal transfers to provinces are not conditioned on performance outcomes in health, education, or other core services. In the absence of performance incentives at the provincial level, similar patterns cascade downward.

Provincial budgeting systems therefore exhibit weak linkages between financial allocations and measurable service outcomes. Performance information may exist in sectoral data systems, but it is rarely embedded in allocation formulas, in-year adjustment decisions, or accountability frameworks. PFCs do not incorporate performance-based criteria into sub-provincial transfers. At the district and facility levels, this translates into weak incentives to improve service quality, limited feedback loops between results and resource allocation, and a budgeting process that remains largely input-focused rather than outcome-oriented.

5.3.3 Limited Top-down Oversight

Effective service delivery in decentralized systems depends on top-down oversight. Across all layers of government, top-down oversight mechanisms are weakened by delays in audit scrutiny, limited follow-up on findings, and incomplete financial reporting. Internal audit functions remain compliance-oriented and narrow in coverage, while legislative scrutiny of audit reports is frequently delayed and rarely focused on service delivery performance. Together, these constraints create an accountability gap in which neither downward citizen pressure nor upward institutional enforcement consistently disciplines resource allocation or service delivery outcomes.

Box 9: The Political Economy of Public Finance for Service Delivery

Many of the technical weaknesses identified in the PEFA assessments and Service Delivery Modules (weak predictability, in-year reallocations, limited performance orientation, constrained local discretion) are typically framed as PFM weaknesses. Political economy analysis undertaken for the purpose of this report suggests that these outcomes reflect deeper political logics that shape how fiscal federalism operates in practice.

Interviews with dozens of stakeholders working throughout the PFM chain identify a key

prevailing incentive structure: higher levels of government have strong reasons to retain control over fiscal resources, because control over money enables the mobilization and maintenance of political support. Development funds, transfers, and staffing decisions are powerful tools in managing coalitions, rewarding constituencies, and responding to political pressures. In this context, predictability, strict rule-based allocation, and strong oversight can reduce discretion, contradicting political imperatives.

Viewed from this perspective, technical "dysfunctions" of the PFM system can perhaps better be understood as features for achieving specific distributional purposes:

- Limited effective oversight protects discretion within the system. Weak enforcement of audit findings, frequent in-year reallocations, and opaque sub-provincial transfers allow resource decisions to remain negotiable rather than rule-bound.

- Performance budgeting that exists on paper but not in practice enables reform signaling without disciplining resource use. Formal plans, key performance indicators, and program structures demonstrate compliance with modern PFM standards, but allocation decisions remain largely incremental and politically mediated.

- Stunted decentralization preserves provincial control while maintaining the appearance of devolution. Limited resources devolved to local governments, weak or inactive PFC mechanisms, lack of transparent sub-provincial formulas, continued provincial control over staffing, and tight control over local revenue sources allow provinces to distribute resources strategically while avoiding genuine fiscal empowerment of districts.

This lens helps explain two persistent features of Pakistan's fiscal federalism system. First, similar technical weaknesses appear across provinces despite differences in administrative capacity. Second, weaknesses endure even in provinces with high technical capacity and years of reform. If underlying incentives remain unchanged, new systems and legal frameworks can coexist with familiar patterns of discretion and volatility.

The above analysis implies that improving PFM for service delivery requires more than technical fixes. Strengthening cash management, performance frameworks, and reporting systems is necessary but insufficient. Reform must also alter the institutional distribution of power and associated incentive structures. This likely requires constitutionally mandated local government empowerment.

5.4 Conclusions

Weaknesses in public finance systems for service delivery to some extent reflect broader fiscal federalism challenges. Pakistan's provinces exhibit mixed performance in the strength of their public finance systems. Observed weaknesses in these systems have a direct impact on weakening service delivery performance. Important weaknesses include weak predictability of resource availability, large and unpredictable in-year reallocations, limited performance orientation through the budget cycle and across levels of government, and constrained local discretion to manage effective resource use. These critical weaknesses are linked to varying degrees, to broader fiscal federalism challenges. Technical weaknesses observed in provincial budgeting and execution are not isolated administrative problems; they are shaped by how resources are raised, distributed, and controlled across levels of government. In this context, a new NFC Award or broader fiscal federalism reforms present important opportunities to recalibrate incentives and address some of the structural drivers underlying service delivery inefficiencies.

To address PFM constraints to service delivery in a durable way, fiscal federalism reforms should focus on strengthening predictability, reducing discretionary distortions, and aligning transfers more closely with service delivery objectives.

- **Federal–provincial transfer mechanisms should be designed to provide greater forward visibility and stability.** Publishing rolling multi-year projections of divisible pool transfers, introducing transparent adjustment rules in the event of revenue shortfalls, and exploring smoothing mechanisms would allow provinces to plan against credible envelopes rather than rely on in-year adjustment. Predictability at the provincial level is a precondition for predictability downstream.

- **Transfer formulas should be refined to strengthen incentives for service delivery performance while maintaining core equalization objectives.** This could include incorporating a modest, clearly defined performance-sensitive component into the divisible pool or establishing conditional grants targeted at priority service delivery outcomes. Alternatively, specific provisions could require provinces to demonstrate timely and rule-based transmission of funds to lower tiers and service delivery units as a condition for accessing certain federal transfers. Even limited performance-linked elements could begin to shift incentives through the PFM system down to service delivery level.

- **Sub-provincial fiscal governance should be strengthened through clearer and more binding arrangements for local government transfers.** Regular, transparent, and publicly disclosed data-driven allocation formulas, together with protection of sub-provincial shares from arbitrary in-year revision, would reduce discretion and improve planning at district level. Clarifying the assignment of local revenue handles and protecting minimum transfer shares would help reduce excessive dependence on provincial discretion. Strengthening the design and predictability of local government transfers is central to completing fiscal federalism below the province and addressing the volatility and misallocation observed in service delivery.

Taken together, these reforms would not only ensure reliable and predictable fiscal allocation but also reduce the space for opaque discretionary adjustment and strengthen the institutional basis for predictable, needs-based distribution.

In parallel, technical PFM reforms within provinces should continue to improve budget credibility and service delivery alignment. These reforms should include strengthening revenue forecasting and fiscal risk analysis, deepening the medium-term orientation of budgeting through credible multi-year ceilings, and institutionalizing formula-based sub-provincial allocations within provincial budget processes. Enhancing commitment controls, improving cash management, and linking development approvals to sustainable recurrent financing would further reduce volatility at the frontline. Efforts to strengthen audit capacity, improve follow-up on audit findings, and increase transparency of district and facility-level allocations should also proceed. These measures can improve accountability and reduce leakages even within existing institutional constraints.

However, technical reforms alone are unlikely to fully resolve the underlying constraints identified in the analysis. Where discretion over transfers and allocations remains concentrated and predictability is structurally weak, improvements in budgeting tools or reporting systems may have limited impact on service delivery outcomes. Lasting gains will depend on combining technical improvements with fiscal federalism reforms that reshape political economy incentives, strengthen rule-based transfers, and clarify the distribution of fiscal authority across levels of government.

06 REFORM OPTIONS

This section presents options for reform of fiscal federalism arrangements in Pakistan based on the preceding analysis. Suitable solutions for Pakistan may vary widely from international norms and reflect the outcome of complex and contested political processes. Accordingly, this report presents a menu of possible reform options rather than a prescriptive and comprehensive reform agenda.

Options are presented for: (i) addressing highest priority issues contributing to existing financing and function misalignments; (ii) strengthening the horizontal distribution formula through a combination of fiscal gap and performance-based grants approach; (iii) addressing specific problematic tax assignment issues; (iv) enhancing the role of local government; and (v) ensuring the effective functioning of fiscal federalism institutions. Options include measures that could be advanced through any new NFC Award, and measures that would require broader changes to the existing fiscal federalism framework.

6.1 Addressing Financing and Function Misalignments

It is critical to address federal–provincial financing and functional misalignments. This could be achieved by both reducing duplicative or wasteful federal spending and addressing remaining misalignments.

- **Federal rightsizing.** A federal rightsizing exercise is currently ongoing with the objective of reducing wasteful and inefficient federal spending, particularly in areas that overlap with provincial mandates. Completion of the federal rightsizing initiative should be prioritized irrespective of broader fiscal federalism reforms to generate fiscal savings and improve efficiency. Global examples of similar initiatives undertaken in a cost and time efficient manner can be found in Canada and Brazil (Box 10).

- **Identifying remaining imbalances.** An assessment of federal revenue potential should be undertaken to determine the extent to which the vertical distribution of resources needs rebalancing following the realization of achievable expenditure savings. Such an assessment would be used to guide a potential permanent or temporary reassignment of resources to fill the remaining federal financing gap.

- **Addressing remaining misalignments.** Several mechanisms can be considered to redress vertical financing misalignments within the existing constitutional restrictions. Function-specific deductions from the divisible pool could be agreed to share the burden of continued federal expenditure on national priorities (national public goods). Examples might include national transport infrastructure, certain security expenditures, some share of debt servicing costs, social protection, environmental programs, strategic interprovincial water infrastructure, national policy making, and coordination. In addition, changes to the composition of the revenue

divisible pool or temporary reductions in the provincial revenue share (agreed by all parties) could be progressed to address urgent fiscal needs (e.g., reduction of the outstanding debt stock).

Box 10: Global Examples of Rightsizing Central Governments

In 1994, the Canadian Government initiated and completed the Federal Programs Review within six months. Under the supervision of the Ministry of Finance (MoF) and the Privy Council Office (PCO), all federal departments and agencies were required to review their activities and programs against the six guidelines outlined below and report results in 60 days, identifying programs to be continued or discontinued. The MoF/PCO collated individual agency recommendations for federal cabinet approval.

Canadian Guidelines for Line Agencies' Program Review included the following:

I. Public Interest Test: Does the program area or activity continue to serve public interest? If yes,

II. Role of Government Test: Is there a legitimate and necessary role for the government in this program area or activity? If yes,

III. Federalism Test: Is the current role of the federal government appropriate, or is the program a candidate for realignment with the provinces?

IV. Partnership Test: What activities or programs should or could be transferred in whole or in part to the private or voluntary sector?

V. Efficiency Test: If the program or activity continues, how could its efficiency be improved?

VI. Affordability Test: Is the resultant package of programs and activities affordable within the fiscal constraints? If not, what programs or activities should be abandoned?

The Canadian program review had a remarkable impact in rightsizing the federal government. The number of federal departments were reduced from 38 to 25, the federal workforce reduced from 220,000 to 178,000, and the federal deficit fell from 7.5 percent of GDP in 1993 to a balanced budget in 1998 and a surplus for the following several years. By 2007–08, the federal debt-to-GDP ratio fell to 29.8 percent from a high of almost 70 percent in 1995–96.

In 2000, Brazil's Fiscal Responsibility Law improved fiscal operations of the federal and state governments by imposing strict numerical fiscal rules for public sector wages and employment, administrative expenditures, and fiscal deficits and debt. It added strong

citizen and court-based accountability mechanism in the event of non-compliance by any order of government with prison terms for public and bank officials violating the fiscal rules.

Source: Shah (2005) *Fiscal Management*.

6.2 Strengthening the Horizontal Distribution Formula

A revised NFC could adopt a transparent and objective system of fiscal equalization. A complex multi-factor formula with arbitrary weights could be replaced with a fiscal gap approach. Standardized expenditure needs and revenue capacity assessments could be used to guide the horizontal distribution of fiscal transfers. This approach would allocate available divisible pool resources between provinces based on a technical quantification and comparison of the fiscal gap between needs and available OSR. The fiscal gap approach provides a transparent and formula driven method to achieving fiscal equalization while eliminating the disincentives around raising OSR and improving expenditure efficiency (Box 11). Several countries have adopted variations of this approach, including Australia, Canada, China, Nigeria, and South Africa. Replacing actual spending or revenue collection with expenditure needs and revenue capacity avoids penalizing provinces for fiscal effort. Moreover, the use of unconditional transfers avoids compromising provinces' fiscal autonomy.

Box 11: A Fiscal Equalization System for Pakistan

The design of a fiscal equalization program for Pakistan must be simple, objective, transparent, easy to understand, and based on publicly available data verified by federal and provincial authorities. Any official or private citizen must be able to easily duplicate calculations done by the NFC Secretariat. The size of the equalization pool may be determined exogenously to stay within the ambit of the Constitution (use the currently defined divisible pool). The proposed approach would require that the fiscal equalization program has two components: fiscal capacity equalization and fiscal need equalization.

Fiscal capacity equalization

Each province's revenue potential is calculated by applying the effective national average tax rate to its economic base (for instance provincial GDP, per capita income). Provinces with below average per capita fiscal capacity qualify for an equalization grant. A step-by-step calculation is explained below:

i. Determine a collectively endorsed macro indicator such as provincial GDP.

Let $\mathbf{GDP_i}$ = Gross Domestic Product of province *i*.

ii. Calculate provincial own-source revenue, including straight federal transfers on provincial revenue bases where federal authorities serve as a collecting agent

Let $\mathbf{OSR_i}$ = Own-Source Revenues of province *i*, including federal straight transfers.

iii. Calculate Provincial Effective Tax Rate (ETR)

$$\mathbf{ETR_i = OSR_i / GDP_i}$$

iv. Calculate National Average Effective Tax Rate (NAETR)

NAETR = (Σ OSR_i) / (Σ GDP_i)
where the sum is over all provinces *i*.

v. Estimate each province's per capita fiscal capacity (PCFC)

For province *i* with population **Pop_i**:

$PCFC_i$ = (GDP_i × NAETR) / Pop_i

vi. Calculate National Average Per Capita Fiscal Capacity (NAPCFC)

NAPCFC = (Σ (GDP_i × NAETR)) / (Σ Pop_i)

vii. Compute Fiscal Capacity Equalization Grant for each province
For each province *i*:

$Grant_i$ = (NAPCFC – $PCFC_i$) × Pop_i

Results interpretation

If the calculation yields a positive value, the province receives that amount as a federal grant for fiscal capacity equalization. If the result is negative (indicating the province has a higher fiscal capacity than the national average), no grant is provided.

Fiscal needs equalization

Fiscal needs are identified to assess expenditure needed to deliver each public service. This is employed using few critical demand side indicators for individual public services without considering supply side factors such as activity costing or output indicators. For instance education financing is assessed based on the number of school-age children; health financing is based on weighted population with relatively higher health-related needs (giving more weight to the elderly and infants); social welfare financing is tied to the number of unemployed and people below poverty; road financing is based on kilometers of paved roads, etc. The simple aggregate of expenditure needs across all public services is considered fiscal need for the province.

To apply the equalization approach for fiscal transfers, either fiscal need equalization can be used in isolation or in combination with revenue equalization. In the latter case, the simple sum of fiscal need and fiscal equalization informs the size of transfers.

The equalization framework could be complemented with conditional transfers linked to performance in service delivery or other national priorities. Conditional transfers over and above equalization transfers could serve as the appropriate instrument for achieving national minimum standards in devolved sectors such as education and health. They could facilitate coordination on

common policy objectives without overriding provincial autonomy. Tying disbursements to measurable service delivery outcomes could also partly address efficiency concerns. Other national priorities could also be tied to conditional transfers including revenue collection, delivery of environmental goods or ecosystem services, governance, or effective local government. Performance could be assessed using predetermined metrics, with verification conducted by an independent third party. Such measures could be accompanied by broader efforts to strengthen federal and provincial statistical systems, ensuring the continuous availability of up-to-date and reliable data for assessing performance across key dimensions.

Incentives for improved performance could also be introduced within the existing fiscal transfer framework. Short of a major overhaul of the existing horizontal allocation system, the current formula could be vastly improved through amendments that incentivize better fiscal and service delivery outcomes. In particular:

- The formula could be reoriented to give greater emphasis to redistribution objectives by assigning a higher weight to the current poverty/backwardness, and inverse population density indicators.

- The revenue formula could be altered to reward provinces for closing gaps between potential and actual collection in OSR collection, rather than reflecting only indicators that favor fiscally stronger provinces. This could include incentives to mobilize under-utilized provincial revenue sources, including taxation of property and agriculture.

- To encourage better service delivery performance and closer alignment with national priorities, a certain share of divisible pool could be utilized for:

    - Investments in critical public services (e.g., education, health, sanitation) and explicitly linked to access-to-service indicators.

    - Transfers to reward provincial contributions to macroeconomic management and explicitly linked to indicators of fiscal discipline, budget transparency, and sound debt management.

    - Transfers to incentivize increased investment in climate adaptation and disaster readiness, including, for example, accumulation of adequate contingency funds and ensuring climate resilience of public investment.

- A set proportion of transfers could be tied to specific expenditure lines such as health, education, sanitation, environmental or ecosystem services, or for further devolution to local governments.

6.3 Addressing Specific Problematic Assignment Issues

Pakistan stands out internationally in the fragmentation of its GST base between goods and services. This fragmentation has been followed by the establishment of multiple GST collection

agencies applying different rates and using different definitions and rules. Fragmentation of GST is a major constraint to improved revenue performance and must be resolved as a first-priority reform to address fiscal unsustainability.

While harmonization efforts are ongoing, a revised NFC might present opportunities to accelerate progress or address underlying constraints. A revised NFC could either:

- Include incentives to: (i) harmonize the GST base through common definitions (based on a shared negative list) and place of supply rules, and harmonized withholding, input adjustment, and refund rules; (ii) expedite rollout of a unified digital system for GST on services filing and payment (which also supports input adjustments and refunds); and (iii) establish comprehensive rules for data sharing.

- Effectively reunify the base through full harmonization and a centralized administration for all GST, with constitutional provisions for revenue sharing implemented through an agreed-upon formula for revenue allocation between the federal government and provinces.

NFC revisions could also be used to advance the implementation of provincial agricultural income tax regimes. Fragmentation of the income base, with agricultural income taxes assigned to provinces and all other income taxes assigned to the federal government, complicates administration, distorts activity, and creates opportunities for evasion. A revised NFC could be used to advance efforts to implement provincial agricultural income tax regimes that have recently been amended to align with the federal income tax regime. Where differences remain, systems for automatic exchange of information should be established to ensure appropriate income offsets.

The NFC or subsequent reforms could support effective implementation of property taxation. This could include efforts to harmonize the base for all immovable property-related levies (taxes, duties, fees, and charges), including through use of a common valuation system and uniform methodology to be used across taxes.

The NFC could provide a framework for expenditure-sharing mechanisms for social protection. As mentioned above, the federal government has increased spending on national social protection significantly since the 7th NFC. While there are important technical arguments for utilization of a coherent national framework for social protection expenditures, the new NFC negotiations present an opportunity to arrive at a fairer distribution of the associated fiscal burden. This could be achieved through: (i) an agreement on a deduction to cover social protection expenditures from the divisible pool; or (ii) a requirement for provinces to make budgetary grants to federal social protection institutions proportionate to their share of costs.

6.4 Enhancing the Role of Local Government

A revised NFC Award could include agreements and incentives to reform local governance legislative frameworks and to promote the implementation of transparent and objective fiscal transfer systems for local governments. These approaches could differ between provinces,

protecting provincial autonomy, but include some core principles and requirements. Such approaches might involve:

- Introduction of clear guidelines for local government structures and minimum standards for devolution of administrative and financial decision-making.

- Implementation of transparent, objective, and regularly updated local government fiscal transfer systems through the regular reconstitution of PFC Awards or alternative arrangements informed by participatory intergovernmental fora. Allocation criteria and underlying indicators should be updated at regular intervals to reflect clearly defined expenditure needs and revenue capacities of each local government.

- Increased local-level allocations for key national priorities, including health and education.

- Introduction of performance-based grants to incentivize better service delivery and revenue generation by local governments.

- Improved inclusion of elected local representatives in the PFC process to enhance accountability.

Sustainable empowerment of local governments, however, is likely to require broader reforms. This would involve reviewing existing governance tiers and their jurisdictional design with the potential to strengthen the role of metropolitan centers, streamlining municipal oversight of autonomous bodies and addressing concerns of rural municipalities; ensuring the effective functioning of representative local governments; providing full clarity regarding respective roles, functions, and tenures; elaborating a framework for fully aligned revenue and expenditure assignments; and mandating a consistent framework for provincial–local transfers that closes resource gaps, and strengthens horizontal equalization and fiscal incentives for service delivery performance.[18]

6.5 Ensuring the Effective Functioning of Fiscal Federalism Institutions

A revised NFC could support improvements in the fiscal framework. A revised NFC Award presents opportunities to reinvigorate fiscal federalism institutions and clarify their mandates and functions. This could be achieved through policy decisions or legislation within the existing constitutional framework. Active participation in and support for coordination bodies could be incentivized under any renewed Award.

More ambitious institutional reforms could be considered in the future. Such reforms could provide binding mandates to ensure greater role clarity, reduce overlaps in existing functions, and establish minimum standards for resourcing and representation. Reliable functioning of fiscal federalism institutions and timely convening of NFCs would facilitate reform and experimentation,

[18] For further recommendations on local government reforms, see World Bank (2024) *Realizing the Potential of Pakistan's Secondary Cities*.

with timely revisions lowering the political stakes and supporting consensus by avoiding perceptions of irreversibility and facilitating dialogue and exchange on important fiscal federalism issues.

Box 12: Key Messages from Provincial Consultations

In consultations undertaken in preparing this section, provincial representatives offered the following perspectives regarding future NFC reforms:

- The NFC remains central to Pakistan's fiscal federal architecture and presents an opportunity to strengthen intergovernmental fiscal relations.
- Caution is needed when expanding NFC objectives beyond its core revenue-sharing function; reforms must remain administratively feasible and politically achievable.
- Fiscal federalism reforms should be approached as a partnership between the federation and provinces to resolve collective action challenges.
- Data quality, transparency, and credibility are prerequisites for any expansion of allocation criteria.
- Federal fiscal credibility and trust-building measures are essential to sustain cooperative intergovernmental arrangements.
- Strengthening provincial revenue mobilization, PFM, and local governance systems is critical but will require parallel reform processes beyond the NFC.

ANNEX 1:
Assignment and Sharing of Taxes

Tax/Fee/Surcharge	Determination of		Collection & Administration	Share of Revenue (%)		
Federal Government	**Base**	**Rate**		**Federal**	**Provincial**	**Local**
Personal income tax excl. agricultural income (Subject 47)	F	F	F*	42.5	57.5	0
Corporate income tax (Subject 48)	F	F	F*	42.5	57.5	0
Taxes on the capital value of assets, not incl. taxes on immovable property (Subject 50)	F	F	P	100	0	0
GST (VAT) on goods (Subject 49)	F	F	F*	42.5	57.5	0
Custom duties incl. export duties (Subject 43)	F	F	F*	42.5	57.5	0
Excise duties excl. opium, liquors, narcotics (Subject 44)	F	F	F*	42.5	57.5	0
Capital gains tax on immovable property (incl. advance tax on purchase and sale of immovable property)	F	F	F, P	100	0	0
Taxes on mineral oil, natural gas, and minerals used in the generation of nuclear energy (Subject 51)	F	F	F	100	0	0
Taxes on the production capacity of any plant, machinery, undertaking, or installation in lieu of one or more taxes (Subject 52)	F	F	F	100	0	0
Terminal taxes on goods or passengers carried by railway, sea or air; taxes on their fares and freights (Subject 53)	F	F	F	100	0	0
Excise duty on natural gas	F	F	F	2	98	0
Royalties on natural gas	F	F	F	2	98	0
GDS	F	F	F	0	100	0
Royalties on crude oil	F	F	F	2	98	0
Hydel profit on hydroelectricity	F	F	F	0	100	0

Surcharges on mineral oil and electricity	F	F	F	100	0	0
Provincial Government						
AIT (incl. super tax)[1]	P	P	P	0	100	0
GST (VAT) on services	P	P	P	0	100	0
Excise duties on opium, liquor, and narcotics	P	P	P	0	100	0
CVT on immovable property	P	P	P	0	15	85
Stamp duties, registration fees, and mutation fees on immovable property	P	P	P	0	100	0
UIPT[2]	P	P, L	P, L	0	0-15	85-100
Motor vehicle tax[3]	P	P	P	0	100	0
Taxes on professions, callings, and trade	P	P	P	0	100	100
Other taxes incl. betterment tax, land tax (excl. Sindh), and entertainment tax	P	P	P	0	0-100	0-100
Other fees incl. cotton fee, electricity duty, road tolls, education cess, etc.	P	P	P	0	100	0
Religious taxes (Zakat)[4]	P	P	F	0	100	0
Local Government						
TTIP	L	L	P, L	0	5-15	85-95
Tax on construction and maintenance of public utility	L	L	L	0	0	100
Taxes on non-motor vehicles	L	L	L	0	0	100
Tax on advertisements	L	L	L	0	0	100
Tax on lands not subject to local rate, e.g., land use conversion fee, tax on hearths, Abiana and ushr	L	L	L	0	0	100
Tax on births, marriages, and deaths	L	L	L	0	0	100
Specific fees (market, slaughterhouse, parking, fairs, agriculture shows, specific	L	L	L	0	0	100

services, cattle sale fairs, erection of buildings)						
Surcharge on any tax levied by provincial govt	L	L	L	0	0	100

Sources: Adapted from SPDC (2018) Strengthening Fiscal Federalism in Pakistan; Shah (2012) Making Federalism Work; and Pakistan Institute of Development Economics (2012) Fiscal Federalism in Pakistan.
Notes: F = Federal; P = Provincial; L = Local, N = Private.
[1.] All the four provinces have their own laws and rates for AIT.
[2.] Administration of UIPT was transferred to local bodies in Sindh as of September 2024 but remains with the provincial government in Punjab, KP, and Balochistan. Local governments are entitled to 100 percent in Sindh and Balochistan, the province retains 12–15 percent in KP and 57.5 percent in Punjab is transferred to the Water and Sanitation Agency.
[3.] In Balochistan, 50 percent of the revenues is transferred to the local governments.
[4.] Islamic Welfare Tax, which is not deposited in the Consolidated Fund and does not form part of the budget.
** Federal government retains 1 percent of the gross collection as administrative charges and net is distributed.*

ANNEX 2:

Comparison of Local Government Structure

Parameter	*Punjab*	*Sindh*	*KP*	*Balochistan*
LG Law	Local Government Act (LGA) of 2025	LGA 2013 (Amended 2015, 2016, 2023)	LGA 2013 (Amended 2019 and 2022)	LGA 2010
Duration of Term	5 years	4 years	4 years	4 years
Status of Elected LGs	Inactive	Active (since 2023)	Active (since 2022)	Active (since 2025)
Structure of Local Government				
Urban Areas	- Municipal Corporations - Town Corporations - Municipal Committees - Union Councils	- Metropolitan Corporation (MC) for metropolitan cities incl. Karachi and chairs of Union Committees (Population >5M) • Includes town municipal corporations (in Karachi) - District Municipal Corporation (DMC) for each district in the metropolitan city (VC of Union Committees; Population 0.3–5M) - Municipal Corporation (MCop) for each city comprising union committees • Union Committee (1st tier for MC, Karachi Metropolitan Corporation, DMC & MCop; Population 45k–75k)	- City local government (in divisional HQs and large urban centers) - Tehsil governments - Neighborhood Council - Development authorities and service companies (specialized agencies for infrastructure and service delivery in larger cities)	- Metropolitan Corporation (Population >500k) - Municipal Corporation (Population 1k–500k) - Municipal Committee (Population 15k–100k)

		- Municipal Committee for each municipality with single ward (Pop. 50K–330K) -Town Committee for each town with single ward (Pop 10K–50K) • Wards (1st tier for municipal and town committees; Population 2.5k–7k)		
Rural Areas	- Tehsil Council - Union Council	- District Council - Union Council (1st tier for District Council)	- District Council - Tehsil Council - Village Councils	- District Council - Union Council (2nd tier)

ANNEX 3:
Comparison of Local Government Responsibilities

Local government responsibilities as specified by the most recent Provincial Local Government Acts	
Punjab LGA of 2025	***Revenue assignments:*** Fourth schedule outlines revenue functions of local government and includes various taxes, tolls, fees, rates, and charges levied by the local government (e.g., property tax, water use charges, building plan approval fees, parking fees, etc.). ***Expenditure assignments:*** Various tiers are responsible for law enforcement, development planning, budgeting, public services (municipal infrastructure and services such as water, sanitation, roads, street lighting, parks, etc.), land use planning, population welfare and control and record keeping and transparency. Education and health, although local functions, are under the purview of autonomous agencies under provincial supervision.
Sindh LGA 2013 (amended 2015, 2016, 2023)	***Revenue assignments:*** Fifth schedule outlines revenue functions of metropolitan corporations, municipal committees, and town, tehsil and union councils. Includes various taxes (incl. property and advertisement taxes), fees and charges, rents, levies, etc. ***Expenditure assignments:*** Second schedule outlines functions of the various tiers. Compulsory functions are as follows: • Metropolitan corporations are responsible for inter-district roads and bridges, storm water drainage and street lighting, special development programs, inter-district coordination of all development and maintenance works, medical colleges and specialized hospitals, parks, museums, art galleries, security, public safety, and land control. • Town municipal corporations are responsible for public health, refuse, sanitation, water, sewage, streets and street lighting, primary and adult education, births, deaths, and marriage registration. • District councils are responsible for district development planning, project management, finance and provision of infrastructure, procurement of equipment for health centers and schools, skills training, public libraries, hospitals and dispensaries, roads and bridges, gardens, fairs, sports and festivals, and vaccinations. • Union councils are responsible for construction and maintenance of basic health, education, road and sanitation infrastructure, monitoring and oversight of projects and assessing needs, local streets, graveyards, sanitation and cleanliness, water supply, local regulations, and social welfare.
KP	***Revenue assignments:*** Third schedule outlines revenue functions of local governments. They can levy any tax, fee, rate, rent, toll, charge, or surcharge only after the provincial government vets the tax proposal and approves it. Taxes

LGA 2013 (amended 2019)	include fire, conservancy, licenses, toll on roads, transfer of immovable property, entertainment tax on dramatical and theatrical shows, fees for registration and certification of births and marriages, services provided by various tiers, community tax, etc. ***Expenditure assignments:*** • Budgeted expenditures cover development projects, regulatory functions, public safety, municipal services (water, sanitation, roads, parks, etc.), education, health, agriculture, public health engineering, salaries, and operational costs of devolved offices. • Charged expenditures cover debt repayments, court judgments or decrees, election-related expenses, auditing and monitoring costs, and human resource development (2 percent of development grant). • Special purpose funds cover specific sanitation and infrastructure projects as directed by the provincial government.
Balochistan LGA 2010	***Revenue assignments:*** Second schedule outlines revenue functions of local governments. Each tier, subject to approval by the provincial government, levies all or any of the taxes prescribed by the government such as on cinemas, entertainment, registration and certification of birth, marriages, and deaths; licenses, sanctions, and permits granted by each tier of local government, transfer of immovable property; annual rental value of buildings and land; birth and marriage fees, advertisement, animals and sale of animals, etc. ***Expenditure assignments:*** Fifth schedule outlines functions of the various tiers. Compulsory functions are as follows: • Urban local governments are responsible for public health, water supply, drains, articles of food and drinks, animals and cattle, education, public safety, town planning, building control, public streets, arboriculture, etc. • Rural local governments are responsible for rural development planning, public works, public health, education, agricultural development and economic welfare, drainage, articles of food and drinks, livestock and dairy development, culture, public safety, etc.

ANNEX 4:
Provincial Spending and Social Outcomes

To provide background data for this report, quantitative analytics were employed to examine relationships between provincial spending and poverty and social outcomes.

District-level data shows that increases in real per capita spending, on average, do not demonstrate a correlation with poverty reduction or better socioeconomic outcomes in the subsequent time periods.[19] However, there are some exceptions:

- KP stands out with a strong positive correlation between increased real per capita spending between periods *t*-2 and *t*-1 and poverty reduction at time *t* (compared to *t*-2), significant at the 99 percent confidence level (Figure A4.1).[20]

- Balochistan shows a reverse trend, where increased spending correlates with higher poverty rates in subsequent periods, likely due to high marginal costs and delayed service delivery impacts in sparsely populated areas (Figure A4.2).

- Punjab and Sindh show no significant correlation between real per capita spending and poverty changes.

Figure A4.1:
Correlation of Poverty at *t* with Increases in Real Per Capita Spending Between ***t***-1 and *t*-2 (KP)

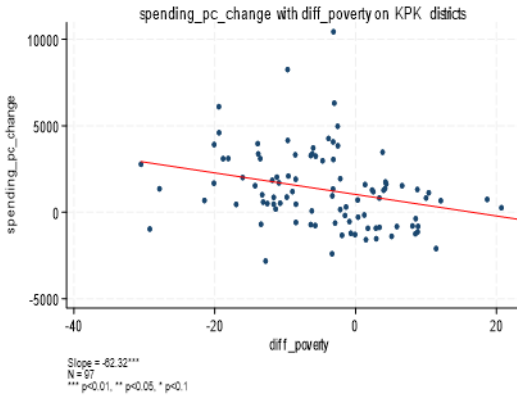
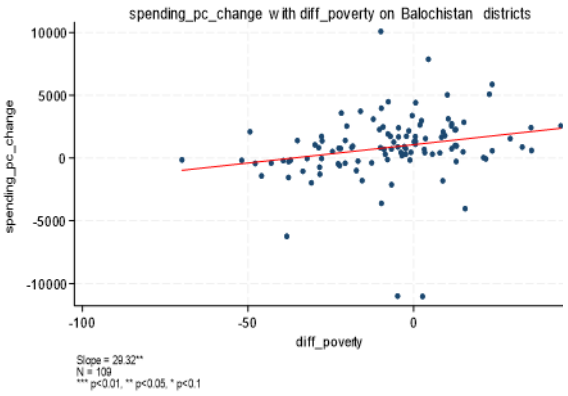


Figure A4.2:
Correlation of Poverty at ***t*** with Increases in Real Per Capita Spending Between *t*-1 and *t*-2 (Balochistan)



Source: World Bank BOOST database and IFMIS data.

[19] While poverty reduction and improvements in other socioeconomic outcomes are influenced by multiple factors, including economic growth, labor market conditions, and others, considering these factors extends beyond the scope of this analysis.
[20] To account for outliers in spending and poverty changes, the data is winsorized at 5 percent level.

Employing a first difference regression model, which accounts for unobserved characteristics that do not change over time and captures the dynamic interplay between variables, enables the identification of clear relationships. KP and Punjab districts show a positive correlation between an increase in fiscal spending between *t*-2 and *t* and a reduction in poverty within the same period, while the correlation seems reversed in Balochistan and Sindh. This result may be due to higher marginal costs of providing basic services in sparsely populated provinces, which slows the impact of public spending on poverty.

Analysis indicates a similarly unclear relationship between education and health spending and outcomes.

All provinces increased spending on education and health services, but these did not necessarily translate into better outcomes. Despite higher per capita education spending in Sindh and Balochistan, these regions have not experienced consistent improvements in educational outcomes. In contrast, districts in Punjab – highlighted in blue – achieve superior education results even with comparatively lower spending. This disparity points to possible inefficiencies in how resources are allocated and utilized, suggesting that the effectiveness of public spending depends not just on the amount invested, but also on the quality of implementation and management.
Similarly, a visual representation of health spending per capita and health outcomes across districts in Pakistan highlights similar results. In Sindh and Balochistan – marked in red – there is a high relative spending on health compared to other districts, yet the health outcomes, as indicated by the health index, remain poor. Conversely, districts in Punjab exhibit better health outcomes despite lower relative per capita spending. The contrast between these regions underscores the need for targeted interventions to address systemic issues and improve the efficiency of health spending.

Box A4.1: Construction of Health, Education, and Infrastructure Indices

For each year and district, indexes that represent the average achievement in a given sector as of the last available year were created. Current values were ignored as current spending could influence the current outcome. For example, for 2016, the average of the most updated information from HIES/PSLM as of 2015 was taken.

Health Index: It consists of four key health indicators measured as percentages:

- Access to healthcare (percentage of the population with health facilities within 15 minutes).
- Child health metrics (percentage of children aged 12–23 months who are fully immunized).
- Two indicators for maternal healthcare coverage (percentages of antenatal and postnatal care visits).

Education Index: It consists of three educational metrics that capture both educational access and outcomes:

- Gross enrollment rates for primary students aged 6–10 (total enrollment regardless of age).
- Net enrollment rates for primary students aged 6–10 (age-appropriate enrollment).
- Literacy outcomes measured by youth literacy rates among individuals aged 15–24.

Infrastructure Services index: This index focuses on two fundamental infrastructure services essential for wellbeing:

- Electricity access as percentage of population with electricity connection.
- Access to improved drinking water (specifically focusing on sources within 30 minutes' travel time).

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